
دائرة الأراضي والأملاك
Land Department
ANNUAL
REPORT
2024

TABLE OF CONTENT

03 Executive Summary

07 Real Estate Transaction

21 Investment performance

47 Luxury Market

54 Rental Market

60 Expert Perspectives

69 DXB RE strategy 2033

73 Future Sentiment



FOREWORD

It is with immense optimism and great pride that I present to you the Dubai Real Estate Annual Report 2024—a landmark edition capturing one of the most exceptional years in the history of our real estate sector. This past year has not only reaffirmed Dubai's position as a global real estate powerhouse, but has also redefined what's possible when innovation, vision, and confidence conjoin in one of the most dynamic markets in the world. From record-breaking luxury sales and unmatched growth in rental demand, to the rise of branded residences and strategic infrastructure developments—2024 was a testament to the resilience, maturity, and magnetism of Dubai's real estate landscape.

The ability to attract global talent, investment, and an entrepreneurial spirit, supported by forward-looking policies such as the Golden Visa program, %100 foreign ownership, and the Real Estate Strategy 2034, further lent to perpetuating that ethos. As the Dubai Land Department, we are proud to play a central role in fostering transparency, investor trust, and sustainable growth. Through rigorous regulatory enhancements and digital innovation, we have strengthened our ecosystem and empowered every stakeholder—from first-time buyers to institutional investors.

Looking ahead to 2025 and beyond, we stand at the threshold of a new era. An era marked by smart urban expansion, inclusive prosperity, and unwavering global confidence in Dubai's vision. Whether it's through luxury waterfront villas, state-of-the-art apartments, or world-leading commercial hubs—real estate will remain a cornerstone of our emirate's success story. Let this report be not only a reflection of achievements past, but an invitation to be part of the journey ahead. The future of real estate is being built in Dubai—and it has never looked more inspiring.

H.E.

Omar Bu Shehab

Director General of Dubai Land Department

EXECUTIVE SUMMARY

The Dubai Land Department (DLD) proudly presents the Annual Real Estate Performance Report, providing a comprehensive overview of the emirate's dynamic and rapidly evolving real estate sector.. This report delivers in-depth, data-driven insights into transaction volumes, price movements, investment behavior, and market shifts from 2007 to 2024, with a particular emphasis on the remarkable momentum witnessed throughout 2023 and early 2024.

Key Highlights

- **Unprecedented Market Growth**
  In 2023, the Dubai real estate market reached historic performance levels, maintaining this growth into 2024. This success was driven by strong investor confidence, strategic economic diversification policies, and rising global demand for Dubai's real estate.

- **Price Performance**
  Average prices per square meter for both units and villas reached new highs in 2024. Villas, in particular, have shown robust price appreciation over the past four years, underscoring a sustained shift in lifestyle preferences and increased demand in premium suburban and waterfront areas. The report includes a dedicated section offering an in-depth analysis of the luxury real estate segment, highlighting trends, buyer profiles, and performance dynamics in high-end communities.

- **Investor Base Expansion**
  The market saw a significant surge in investor activity, marked by a substantial increase in both new and active investors. This includes a growing number of first-time buyers, institutional investors, and overseas participants. The consistent increase in investor retention and re-engagement signals strong market confidence and sustained value proposition.

- **Segmental Strength**
  Both off-plan and ready properties demonstrated robust activity across diverse areas. Off-plan sales, in particular, played a critical role in fueling new project launches and capturing future-oriented investor interest

EXECUTIVE SUMMARY

- **Investor Diversity and Global Appeal**
  Dubai continues to attract a globally diverse investor pool, with significant increases in investments from Europe, Asia, and the Middle East.. High-net-worth individuals and cross-border capital are increasingly targeting premium and lifestyle-centric developments, reinforcing Dubai's reputation as a safe, high-return investment destination.

- **Resold vs. Held Inventory**
  Between 2019 and 2024, Dubai's property market has exhibited accelerating turnover in residential assets alongside sustained long-term holdings in commercial segments. The analysis contrasts the age distribution of resold properties against that of still-held portfolios across four categories: Villas, Residential Units, Retail Units, and Offices.

Market Outlook

Dubai's strategic positioning as a global hub for investment, innovation, and sustainable living underscores the real estate sector's pivotal role in the emirate's economic strategy. Ongoing infrastructure advancements, long-term residency reforms, and smart city initiatives are expected to further stimulate local and foreign investment, supporting a vibrant and resilient market outlook.

This report is intended to empower stakeholders—including investors, developers, policymakers, and researchers—with transparent, reliable insights rooted in the most updated data available from DLD's dynamic real estate database. It underscores DLD's commitment to fostering data transparency, innovation, and a world-class real estate ecosystem.



MARKET ECONOMICS & DEMAND DRIVERS

Dubai Real Estate & Hospitality | 2024 Review & 2025 Outlook

Macro Indicator(2024)		Headline Data
GDP (Q3-24)	Real-estate sub-sector	AED 8.77 bn (8.1% contribution) (▲4.6%)
	Construction output	AED 7.17 bn (6.6% contribution) ▲ 3.8% YoY
International visitors		18.7 m (▲ 9% YoY)
Hotel supply / occ.		643 hotels · 127,647 rooms · 76 79% occ.
Serviced apt supply / occ.		189 bldgs. · 26,369 keys · 80 - 82% occ.
Rental contracts		965 k (▲ 15% vs 2023)
Total number of investors		158 K - ▲ 41% vs 2023

Source : Department of Economy and Tourism - Digital Dubai -DLD

Visitor Mix 2024—Sharper Lens on Demand Sources

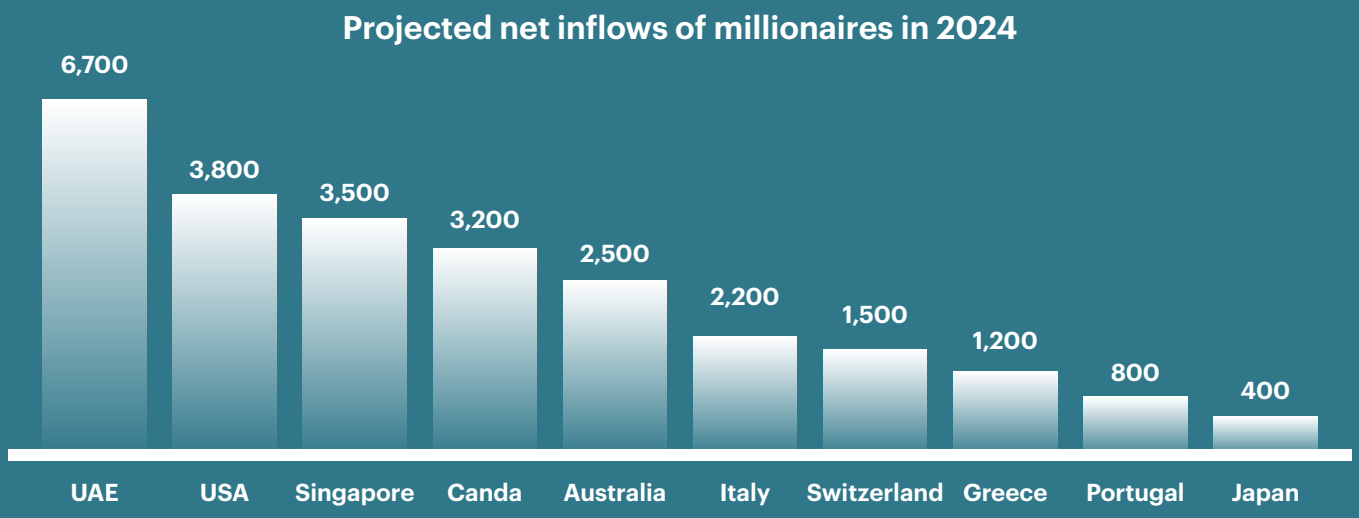
Visitor by Region	Share 2022	Share 2023	Share 2024
Western Europe	21%	19%	20%
GCC	21%	16%	15%
South Asia	17%	18%	17%
Eastern Europe	11%	13%	14%
North & SE Asia	5%	9%	10%
MENA (ex GCC)	12%	12%	11%
Americas	7%	7%	7%
Africa	5%	4%	5%
Australasia	2%	2%	2%

Source : Department of Economy and Tourism -Digital Dubai

Dubai enters 2025 with a healthy macro base, disciplined supply pipeline, and unmatched global connectivity. These fundamentals, combined with proactive regulation and world class infrastructure, position its real estate market for continued growth, resilient yields, and compelling risk adjusted returns across residential, commercial, and alternative asset classes. Diversified visitor growth shields landlords from single market shocks, bolstering both luxury and mid market yields.

MARKET ECONOMICS & DEMAND DRIVERS

High Net Worth Migration 2024 – Implications for Dubai Real Estate



Source: New World Wealth report 2024

High-net-worth families are relocating to the UAE for various reasons, including geographic advantages, trade agreements, accessible golden visas, a dynamic real estate market, strategic vision, economic resilience, premium quality of life, political stability, security, and cultural vibrance

Why the UAE's Top Ranking Matters for Dubai Property

- **Complementary Asset Uptake**

  HNWIs establish family offices (DIFC, ADGM), lease Grade A offices, place children in premium schools—spurring commercial, education, and retail property demand alongside residential.

- **Reinforcing Rental Yields**

  Many newcomers rent for 6 12months while evaluating purchases—tightening high-end leasing markets (Downtown, Emirates Hills) and pushing yields toward 5%+ on trophy assets

Insights

After years of careful planning and construction, **Dubai now stands firmly as the Middle East's premier wealth destination.**
Dubai's winning approach combines world-class physical infrastructure, advanced financial institutions, and enhanced security protocols relative to neighboring options . With a net inflow almost double that of the USA and Singapore, the UAE—driven by Dubai—will remain the world's hottest landing spot for migrating millionaires in 2024and 2025. Their capital inflows will keep luxury real estate values buoyant, deepen liquidity, and create spill over demand across commercial and alternative property segments.

01.

Real Estate Transaction

MARKET FACTS & FIGURES







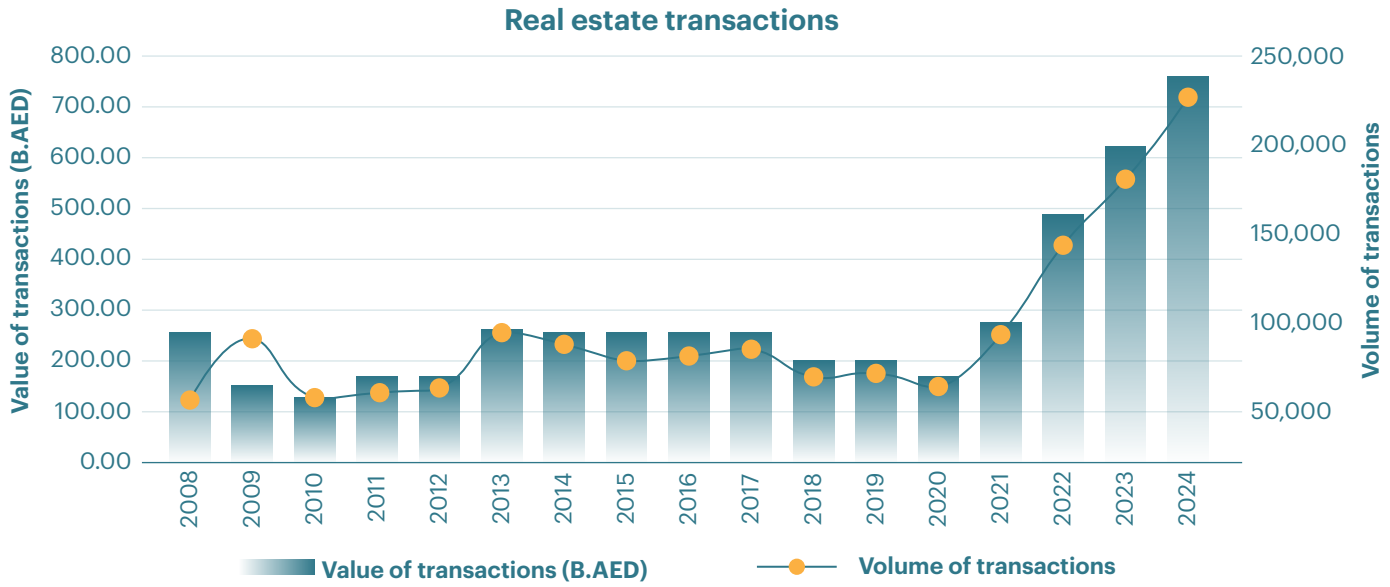




TREND OF THE REAL ESTATE TRANSACTION (2019-2024)

Market Evolution & Performance

Dubai's real estate sector has demonstrated remarkable resilience and transformation over the past six years, emerging as one of the most dynamic and attractive markets globally. In 2024, the total value of real estate transactions reached an all-time high of **AED 760.99 billion**, reflecting a 20.4% year-on-year increase — a clear testament to the city's continued appeal to both regional and international investors.



Strategic Growth Phases

2019

- **2019 – Foundation for Growth**

In 2019, the market laid important groundwork for its future expansion. Despite some quarterly fluctuations, transaction activity remained healthy, setting the stage for the city's evolution into a global investment hub.

2020

- **2020 – Resilience Amid Global Challenges**

While the global pandemic temporarily disrupted markets in 2020, Dubai's real estate sector proved its resilience. After a brief slowdown in Q2, the city rebounded swiftly in **Q3-20 with AED 56.43B** in transactions, supported by rapid digital adaptation and investor-friendly reforms.

2022

- **2021–2022 – Acceleration & Investor Confidence**

Dubai entered a new era of growth in 2021, fueled by surging demand, progressive policies, and Expo 2020 momentum. Transaction values consistently increased across all quarters, with **Q4-2022 reaching AED 206.85B**—a landmark achievement driven by rising global interest in Dubai's real estate offerings.

TREND OF THE REAL ESTATE TRANSACTION (2019-2024)

2023

2023 – Market Consolidation with Sustained Strength

2023 was characterized by strategic consolidation, as the market built on its strong foundation from previous years. Total transactions reached **AED 632.17B**, with a steady flow of activity across all segments. Rather than overheating, the market showed healthy signs of balance and sustained investor confidence — underscoring Dubai's long-term investment appeal.

2024

2024 – A Landmark Year for Growth & Stability

2024 has been a milestone year for Dubai's real estate market. The sector continued to grow at a healthy, sustainable pace, reflecting maturity, strategic diversification, and strong demand across residential, commercial, and off-plan segments.

This consistent upward momentum illustrates Dubai's continued leadership as a world-class real estate destination. The increase in value was supported by strong investor sentiment, flexible financing options, and a wave of high-quality, lifestyle-focused developments.

2025

2025 – Positive Outlook for 2025 and Beyond

Dubai's real estate sector enters 2025 with strong fundamentals and an increasingly diversified investor base. Growth in 2024 was driven by:

- Rising demand for ultra-luxury and branded residences
- A robust off-plan market with flexible post-handover payment structures
- Expanded financing options and supportive policy frameworks
- Steady inflow of global capital from Europe, Asia, and the Middle East

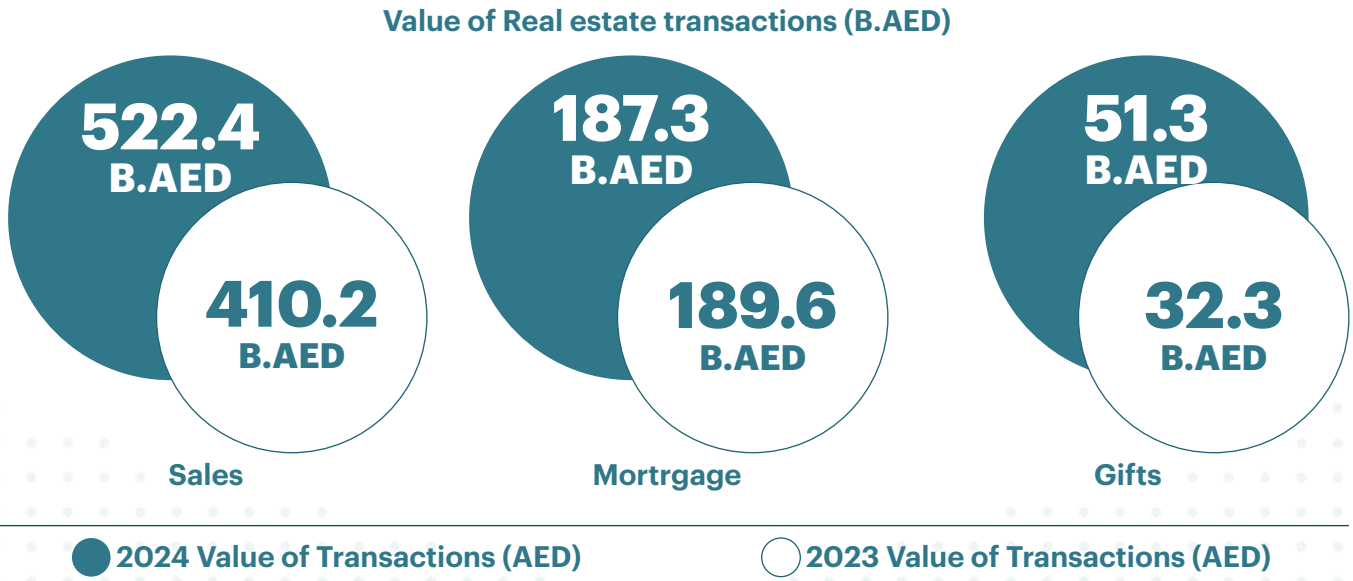
Looking ahead, the outlook remains highly promising. With visionary leadership, continuous infrastructure investment, and increasing global connectivity, Dubai is well-positioned to sustain its growth trajectory and attract a new wave of end users and investors alike.

TRANSACTION TYPE ANALYSIS – 2024 VS. 2023

The 2024 transactional breakdown reveals a well-diversified and maturing real estate market. With strong sales growth, stable mortgage activity, and a rise in legacy- oriented gifting, the market demonstrates:

- Deepening investor engagement
- Financial health and liquidity among buyers
- Strong confidence in the long-term value of Dubai real estate

As the market continues to evolve, these trends suggest a transition to strategic, purpose-driven investment and ownership — a hallmark of global real estate hubs.



Sales Transactions – Continued Upward Momentum

The 27.35% year-on-year increase in sales transaction value reflects Dubai's strong and sustained appeal to both end-users and investors in 2024. This impressive growth indicates:

- Rising confidence in Dubai's property market as a wealth-building asset class
- A surge in off-plan and luxury segment activity
- Increased interest from international buyers leveraging favorable ownership laws and long-term visa programs

Notably, sales now account for nearly 69% of total transactional value, underscoring the market's growing orientation toward ownership and asset accumulation.

TRANSACTION TYPE ANALYSIS – 2024 VS. 2023

Mortgage Transactions – A Healthy Plateau

The slight 1.24% decline in mortgage transaction value suggests a period of normalization following years of expansion. While not a negative indicator, this plateau points to:

- A shift toward cash-driven transactions, especially in the luxury and high-net-worth segments
- Selective borrowing amidst global interest rate fluctuations
- Preference for post-handover payment plans in the off-plan sector, reducing reliance on traditional mortgage financing

This trend aligns with Dubai's evolving buyer profile — one that is more capitalized and less debt-dependent.

Gift Transactions – Sharp Growth Reflects Family Wealth Transfers

A remarkable 58.95% increase in gifted property transactions highlights an emerging trend in the market:

- Growing intergenerational wealth transfers and estate planning
- A maturing property ownership cycle among local and expatriate families
- Increased formalization and documentation of intra-family asset distribution

This shift is a positive signal of long-term confidence, with more families choosing to consolidate and protect real estate wealth for future generations within the UAE.



TRANSACTION TYPE ANALYSIS – 2024 VS. 2023

Property Type	2024 Value (AED B)	2023 Value (AED B)	Growth YoY (%)
Unit	318.18	231.88	+37.21%
Land	234.56	253.09	-7.32%
Villa	126.32	93.76	+34.72%
Building	81.94	53.40	+53.45%
Total	**760.99**	**632.13**	**+20.39%**

Units – High Liquidity and Core Market Demand

Apartments and standalone units continue to form the backbone of Dubai's real estate market, representing over 41% of total transaction value in 2024. The 37.21% YoY growth reflects:

- Sustained investor interest in mid- to high-end units, particularly in prime and waterfront locations
- A sharp rise in off-plan unit sales, supported by flexible payment structures
- Increased international end-user and investor participation

This segment remains the most accessible and liquid, attracting both first-time buyers and yield-seeking investors.

Land – Strategic Softening After Peak Activity

While land transactions saw a modest decline of 7.32%, this follows a period of heightened land acquisition in 2021–2023. The dip may be attributed to:

- Developers shifting focus to construction and project launches
- A natural cooling after aggressive land banking and masterplan approvals
- Selectivity in land purchases, favoring premium, well-zoned plots

This softening a sign a strategic recalibration within the development cycle.

PROPERTY TYPE TRANSACTION ANALYSIS
– 2024 VS. 2023

Villas
– End-User Demand and Lifestyle-Driven Growth

Villas posted a robust 34.72% increase in transactional value, driven by:

- High demand for spacious, lifestyle-oriented living, especially in suburban and luxury gated communities
- A supply-demand gap in prime villa developments, pushing prices upward
- Increased preference for freehold ownership among affluent expatriates

This trend confirms Dubai's transformation into a global luxury residential destination, appealing to end-users seeking permanence and exclusivity.

Buildings
– Institutional Interest and Redevelopment Play

The most impressive growth came from building sales, which surged 53.45% YoY — the highest across all property types. This signals:

- Rising interest from institutional investors and family offices acquiring incomegenerating assets
- Redevelopment and repositioning strategies in established districts
- Confidence in long-term rental yield performance and capital appreciation

The increase in building-level transactions suggests a maturing real estate investment landscape, with more strategic plays on asset management and value creation.

Dubai's property market in 2024 demonstrated healthy, broad-based growth across nearly all segments. Key highlights include:

- **Units and villas** driving residential momentum and lifestyle appeal
- **Buildings** capturing the attention of serious capital with strong growth in structured investments
- A **moderate land correction** that reflects a shift from speculation to development execution

The overall 20.39% annual increase in transaction value confirms Dubai's continued ascent as a globally competitive real estate hub — balancing end-user appeal with strong institutional investment potential.

TRANSACTION VALUE BY PROPERTY CATEGORY – 2024 VS. 2023

Property Category	2024 Value (B.AED)	2023 Value (B.AED)	YoY Growth (%)
Existing Properties	295.82	218.56	+35.35%
Vacant Land	234.56	253.09	-7.32%
Off-Plan Properties	230.61	160.48	+43.70%
Total	**760.99**	**632.13**	**+20.39%**

Existing Properties – Strength in Ready Market Demand

The 35.35% increase in transaction value for existing (ready) properties is a clear indicator of mature demand, reflecting:

- A growing base of end-users and long-term investors prioritizing move-in-ready options
- Strength in the secondary market, particularly for prime and ultra-prime locations (e.g., Downtown, Palm Jumeirah, Dubai Marina)
- A surge in high-value resale transactions in villa and branded residence segments

This strong performance supports the narrative of real estate as a preferred wealth preservation and lifestyle investment in Dubai.

Off-Plan Properties – Continued Investor Confidence

Off-plan sales saw the highest growth rate at 43.70% YoY, driven by:

- Developer innovation in design, branding, and payment flexibility
- Attractive launch pricing and incentives drawing both regional and international investors
- Strong appetite from cash-rich buyers seeking capital appreciation during construction cycles

The off-plan segment's rise highlights Dubai's ability to blend investment with security, thanks to RERA regulations, escrow protections, and developer credibility.

TRANSACTION VALUE BY PROPERTY CATEGORY – 2024 VS. 2023

Vacant Land – Strategic Dip, Not a Decline

The 7.32% dip in vacant land transactions may appear negative at first glance, but it likely reflects:

- A strategic shift in investor focus toward income-generating assets or active development rather than land banking
- Stabilization in land pricing after a high-activity period **in 2022–2023.**
- Increased selectivity in land acquisition, focusing more on prime-located parcels tied to specific development pipelines

This signals a transition from land trading to active project development, a healthy progression for long-term urban planning and value creation.

Key Takeaways

- **Dubai's total transaction value grew by 20.39% YoY,** with broad-based performance across segments.
- The market is increasingly being shaped by **end-user demand, lifestyle investment, and strategic development,** rather than short-term flipping.
- Growth in both ready and off-plan sectors showcases a **well-balanced ecosystem** — from mmediate occupancy needs to future-forward efficiency.

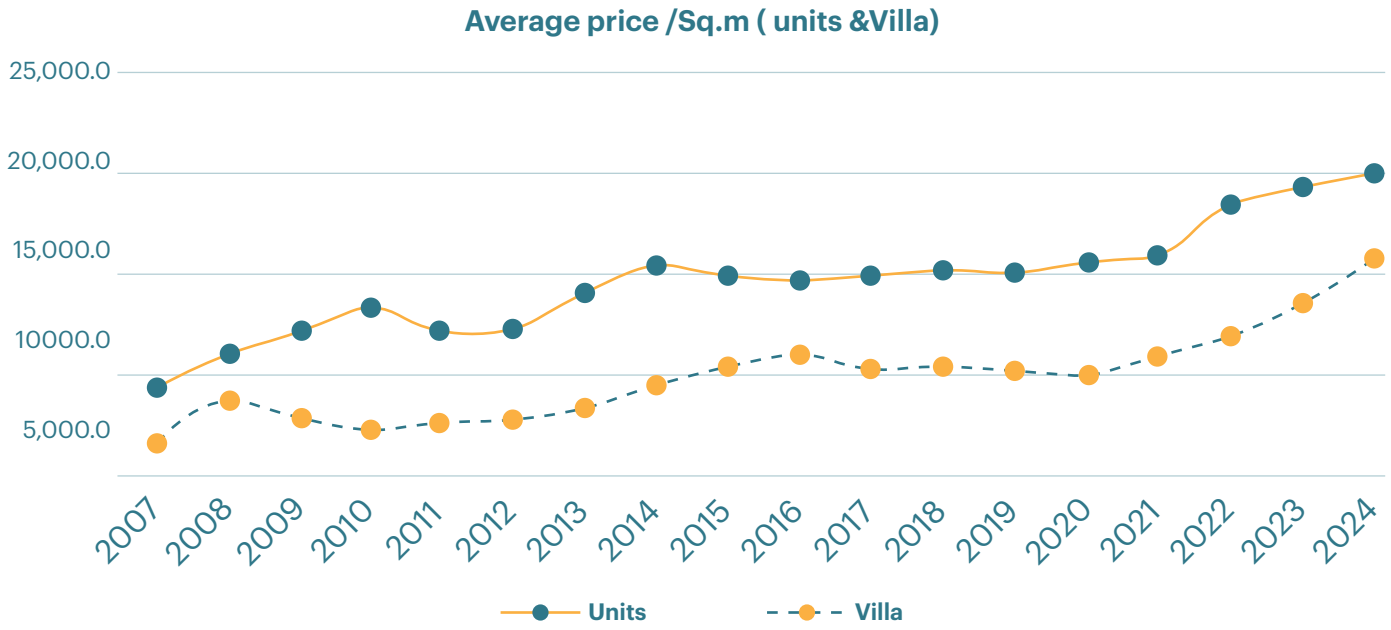
Dubai's ability to deliver sustained value across property categories reflects:

- Strong governance and real estate regulation
- Robust infrastructure and lifestyle positioning
- Increasing global investor trust in Dubai as a safe, growth-oriented market

Looking ahead, demand is expected to remain strong across all categories, with land activity likely to rebound in alignment with new mega-project launches and infrastructure expansion zones.

GENERAL MARKET PRICE PERFORMANCE PER TYPE OF PROPERTY

Over the past 17 years, the Dubai real estate market has experienced distinct growth phases, corrections, and a strong post-pandemic recovery, as reflected in the average price per square meter for both units and villas.



Units Market Trend Analysis

- **2007–2010 (Boom Years):**
  The average price per Sq.m for **units rose 70%**, from **AED 6,928 to AED 11,775**, driven by rapid market expansion and investor enthusiasm leading up to the global financial crisis.
- **2010–2012 (Correction & Stabilization):**
  Post-crisis correction saw **prices dip in 2011**, then stabilize around **AED 10,700–10,900 in 2011–2012.**
- **2013–2014 (Recovery & Peak):**
  A new growth cycle pushed prices to **AED 14,182 in 2014 — a 30% jump over two years.** This was supported by economic diversification efforts, **Expo 2020 anticipation**, and regulatory maturity.
- **2015–2020 (Soft Decline & Stabilization):**
  From **2015 to 2020**, unit prices showed minor declines and fluctuations, stabilizing around **AED 13,500–14,500**, reflecting a matured market with increased supply and subdued global demand.
- **2021–2024 (Post-COVID Surge):**
  Unit prices rose sharply from **AED 14,719 in 2021 to AED 19,488 in 2024 — a 32% increase in 3 years,** indicating high investor demand, limited prime supply, and renewed interest in Dubai's lifestyle offering.

GENERAL MARKET PRICE PERFORMANCE PER TYPE OF PROPERTY

Villas Market Trend Analysis

- **2007–2010 (Initial Growth, then Correction):**
  Villas grew from **AED 3,598 to 5,500 per Sq.m**
- **2011–2016 (Gradual Appreciation):**
  Villas saw consistent upward movement, **reaching AED 9,134 in 2016** — reflecting growing interest in lifestyle-centric communities and maturing suburban areas.
- **2017–2020 (Market Pressure):**
  Prices declined slightly due to supply expansion and affordability pressures, **bottoming out around AED 7,575 in 2020.**
- **2021–2024 (Villa Boom):**
  From 2020 to 2024, villa prices almost doubled, **reaching AED 14,605 per Sq.m. This 93%** surge reflects the post-pandemic shift toward larger, private, low-density living spaces, along with constrained prime villa supply in key areas (e.g., Palm Jumeirah, Dubai Hills).



Key Insights & Market Implications

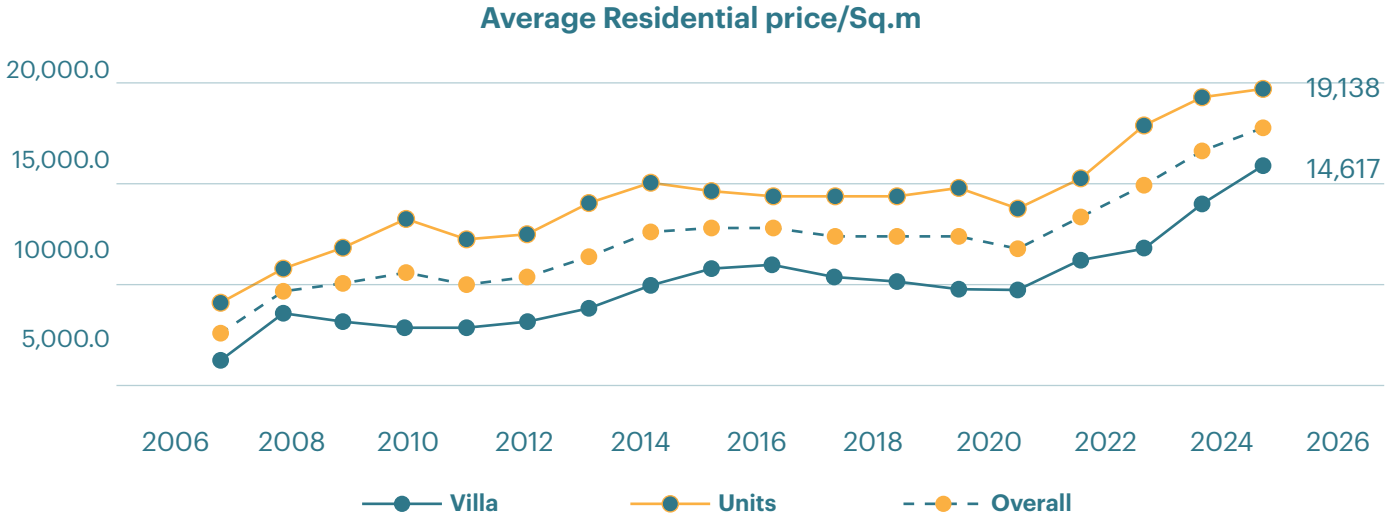
- **Villas Outpacing Units:**
  While both segments have appreciated significantly **post-2020**, villas have outpaced units in relative growth, signaling a structural lifestyle change and elevated demand for exclusive, low-density housing.
- **Price Convergence:**
  In 2007, units were priced **92% higher than villas per Sq.m. By 2024**, the gap narrowed to just 33%, indicating a rising premium on land, privacy, and spacious layouts.
- **Luxury Market Strength:**
  The strong price appreciation, particularly in the villa segment, aligns with Dubai's growing reputation as a luxury destination for high-net-worth individuals (HNWI).
- **Supply Constraint:**
  Villa prices may continue their upward trajectory in the short term due to limited new launches in high-demand areas.

GENERAL MARKET PRICE PERFORMANCE PER USAGE OF PROPERTY

Overall Trends:

- **Across all sectors (commercial and residential, villas and units), steady long-term price appreciation is evident, especially post-2021.**
- **The steepest growth has occurred in residential units and commercial units since 2022, reflecting shifting demand patterns and market maturity.**

Residential Sector:



Residential Units (Apartments):

- Strong, consistent growth, especially from 2021 onward.
- Average price/Sq.m grew from **AED 6,922 (2007) to AED 19,138 (2024)** nearly tripled over **17 years.**
- Acceleration after **2021 driven by:**

1. Higher demand for branded residences, waterfront properties, and integrated communities.
2. Surge of international buyers seeking quality urban living options (Downtown, Marina, Palm, etc.).

Residential Villas:

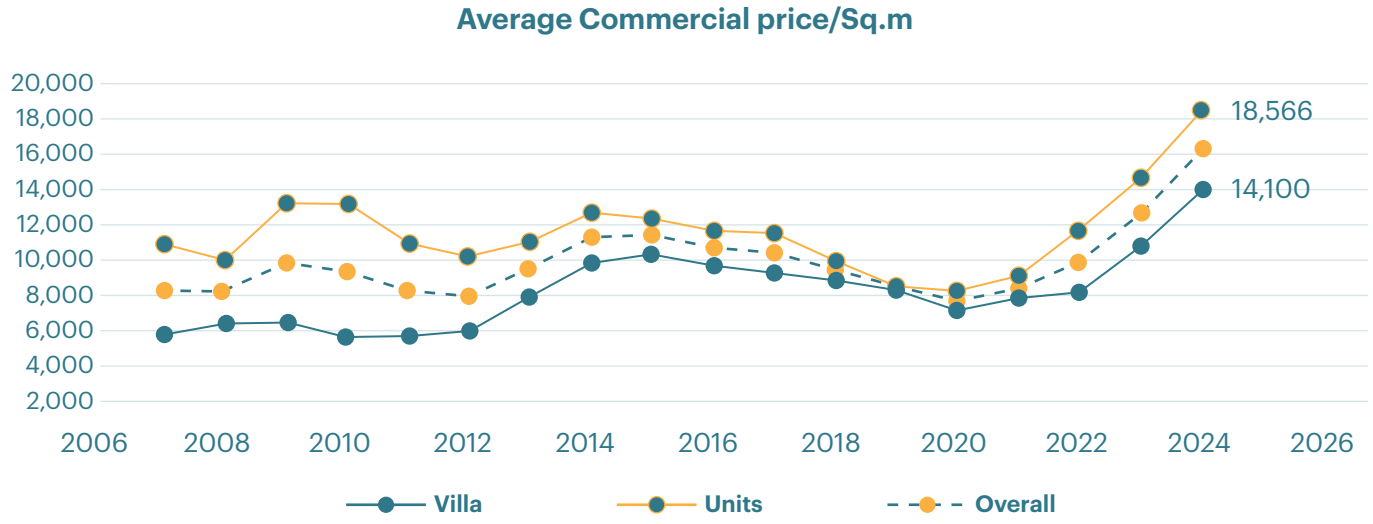
- Steady growth from **AED 3,577 (2007) to AED 14,617 (2024).**
- Stronger appreciation in the **post-2021 period** as lifestyle preferences shifted to larger homes with outdoor spaces (post-pandemic effect).
- Villa communities like Dubai Hills, Arabian Ranches, and Palm Jumeirah fueled this price escalation

Observation:

While lifestyle-driven demand has been the primary driver for residential assets—especially villas—strong rental yields, solid ROI, and consistent capital appreciation in prime areas are increasingly attracting investment-focused buyers.

GENERAL MARKET PRICE PERFORMANCE PER USAGE OF PROPERTY

Commercial Sector:



Commercial Units (offices, retail):

- High starting price in **2007 (AED 10,870)**, peaking sharply **post-2009.**
- After mild corrections between **2015–2020**, significant rebound occurred in **2022–2024**:
  - **AED 18,566/Sq.m in 2024** – reflecting Dubai's strong post-COVID economic recovery, and growth of hybrid workspaces and SME/start-up hubs.

Commercial Villas:

- More niche product (limited supply in business zones).
- From **AED 5,728 (2007) to AED 14,100 (2024)** → doubling in **17 years.**
- Sharp increases **since 2022 reflect a trend** where businesses seek independent, boutique-style office spaces outside traditional towers.

Observation:

The recovery of Dubai's commercial real estate sector post-2021 has been predominantly **driven by genuine demand,** as end users. This resurgence is closely aligned with the emirate's ongoing **economic diversification efforts** and a series of pro-business reforms aimed at enhancing the investment environment.

Notably, the introduction and early groundwork of the **Golden Visa program,** played a pivotal role in shaping long-term investor sentiment. By offering long-term residency to investors, entrepreneurs, and skilled professionals, the Golden Visa significantly strengthened **market confidence,** attracted **sustainable foreign direct investment,** and laid the foundation for a more **stable and resilient commercial property market** in the years that followed.

02.

Investment performance

INVESTMENT PERFORMANCE - UNITS











INVESTMENT PERFORMANCE - VILLA











INVESTMENT PERFORMANCE - EXISTING PROPERTIES











INVESTMENT PERFORMANCE - OFF-PLAN PROPERTIES





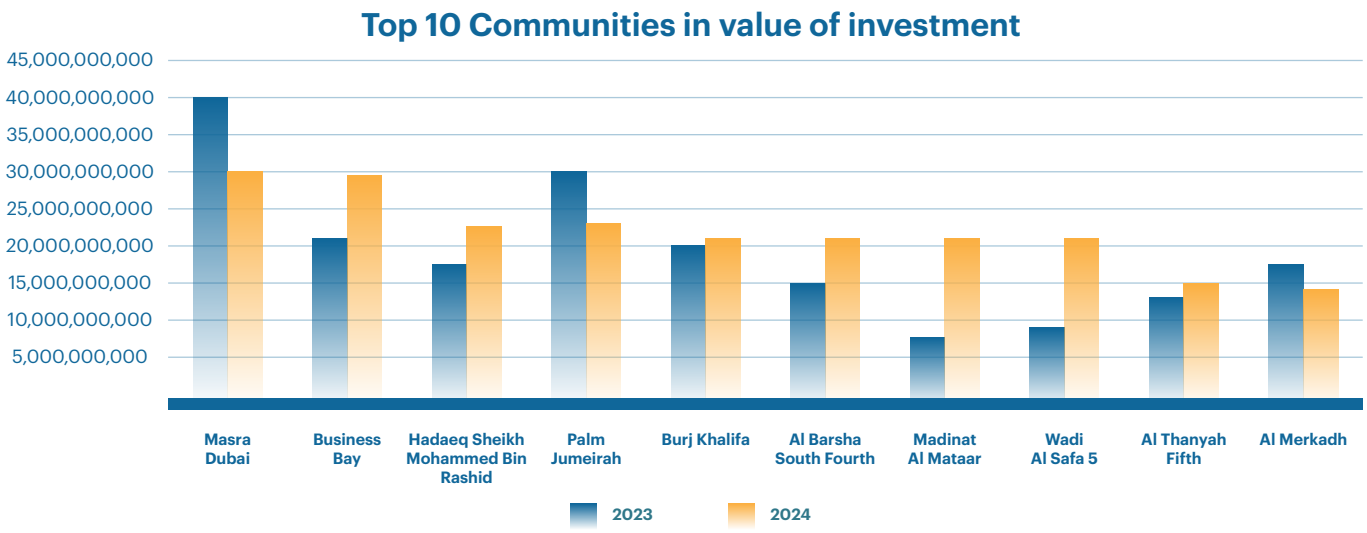




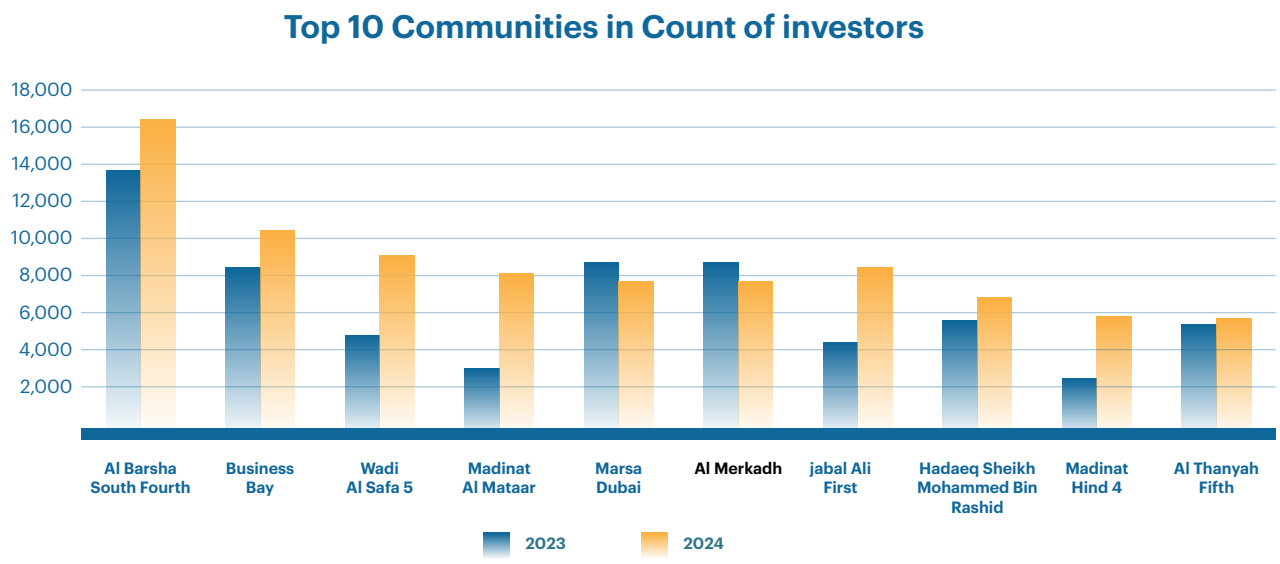


2024 INVESTMENT LANDSCAPE BY COMMUNITY

Capital Allocation: Top Communities by Value of Investment



Investor Trends: Community Popularity and Growth





INCREMENTAL INVESTMENT GROWTH BY COMMUNITY

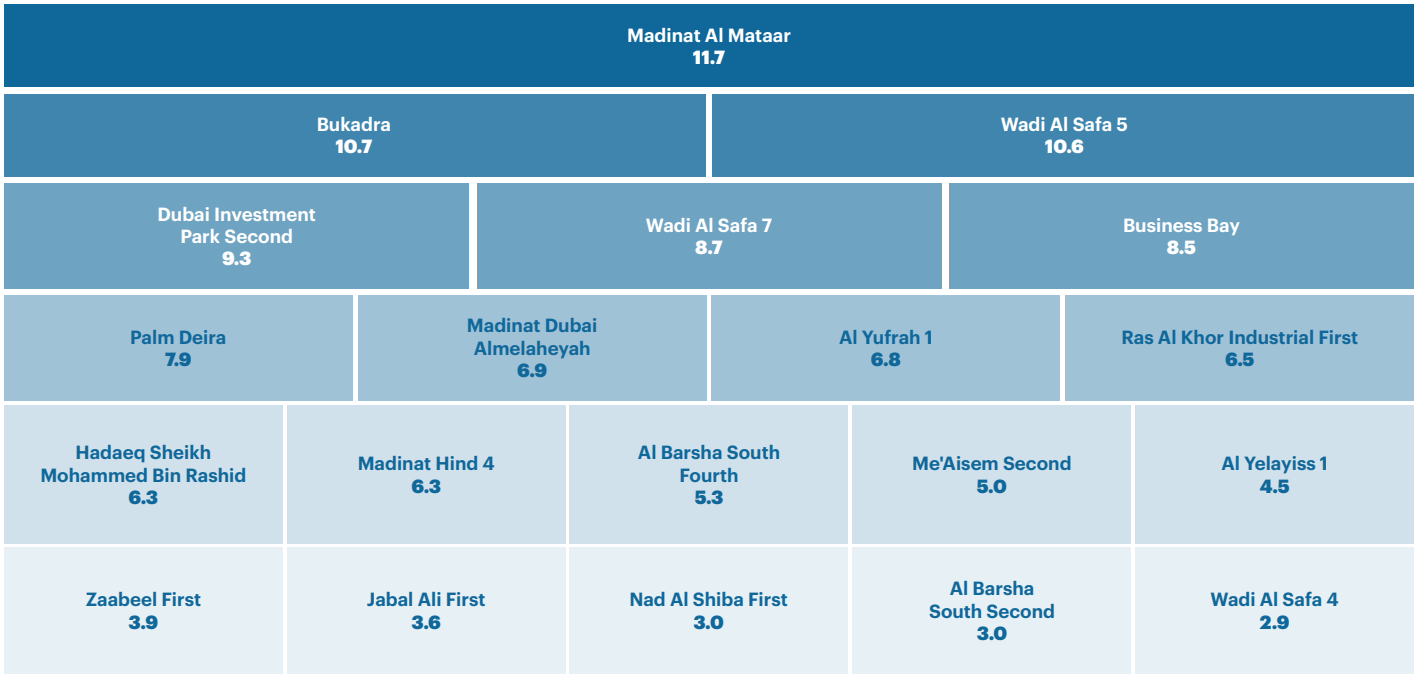
Incremental Value Growth: Where Capital Is Pouring In

- **Madinat Al Mataar (+AED 11.74 bn)**
  This community not only remains a top destination for large-scale transactions but added **another AED 11.7 billion on top of its 2023 volume**—evidence of fresh, sizeable deals .
- **Bukadra (+AED 10.71 bn)**
  Building on a strong base, Bukadra's **additional AED 10.7 billion signals** both steady secondary-market trading and new project launches.
- **Wadi Al Safa 5 (+AED 10.60 bn)**
  A suburb with rising profile, **Wadi Al Safa 5's extra AED 10.6 billion.**
- **Dubai Investment Park Second (+AED 9.31 bn)**
  Institutional appetite continues: nearly **AED 9.3 billion in new capital** above last year's intake.
- **Wadi Al Safa 7 (+AED 8.69 bn**
  Close behind, this adjacent parcel extends the Safa precinct's overall momentum with another **AED 8.7 billion.**

Key Insight

The largest incremental value gains are concentrated in airport- and industrial-adjacent districts, reflecting both institutional follow-through on prior interest and new entrants chasing proven yields.

Incremental Value Growth (B.AED)-top 20 communities



INCREMENTAL INVESTMENT GROWTH BY COMMUNITY

Incremental Investor-Count Growth: Where Buyers Are Flocking

- **Madinat Al Mataar (+4,726 investors)**
  Added nearly **4,800 new investors** over 2023—far outpacing any other community and confirming its broadening appeal to both institutional and retail players.
- **Wadi Al Safa 5 (+4,423 investors)**
  A surge of **over 4,400 additional buyers** reflects rapid retail uptake—many likely capitalizing on earlier developer incentives.
- **Bukadra (+4,354 investors)**
  Bukadra's similar headcount increase shows a widening retail pool, reinforcing its strength beyond high-ticket deals.
- **Madinat Hind 4 (+3,668 investors)**
  An emerging hotspot: nearly **3,700 more investors**, hinting at a maturing market cycle.
- **Madinat Dubai Almelaheyah (+3,249 investors)**
  Over 3,200 new participants underscore rising confidence in this centrally-located community.

Key Insight

These headcount uplifts highlight where first-time and seasoned buyers alike are targeting—airport-zone clusters still dominate, but mid-market communities (Madinat Hind 4, Almelaheyah) are catching up fast.

Incremental Investor-Count Growth -top 20 communities

Madinat Al Mataar 4,726				
Wadi Al Safa 5 4,423		Bukadra 4,354		
Madinat Hind 4 3,668		Madinat Dubai Almelaheyah 3,249		Al Barsha South Fourth 2,918
Jabal Ali First 2,780		Ras Al Khor Industrial First 2,638	Business Bay 2,265	Al Hebiah Fourth 2,219
Wadi Al Safa 7 1,834	Dubai Investment Park Second 1,718	Al Barshaa South Second 1,716	Hadaeq Sheikh Mohammed Bin Rashid 1,696	Wadi Al Safa 4 1,604
Al Yufrah 1 1,429	Palm Deira 1,422	Al Hebiah First 1,399	Zaabeel First 1,261	Wadi Al Safa 3 1,255

INCREMENTAL INVESTMENT GROWTH BY COMMUNITY

Momentum Dynamics: Value vs. Count Uplift

- **Heavy-Value, Lean-Count**
  Dubai Investment Park Second and Palm Deira achieved exceptionally large additional Value of investment **(AED 9.3 B and AED 7.9 B , respectively)** but added relatively few investors (+1,718 and +1,422)—a classic sign of institutional bulk transactions.
- **Broad-Count, Moderate-Value**
  Madinat Hind 4 and Al Barsha South Fourth **logged 3,600–2,900 more investors** but "only" **AED 6.25 B and AED 5.27 B in extra value**—indicating a proliferation of smaller-ticket, retail-driven deals (apartments, mid-segment villas).
- **High-High Momentum**
  Madinat Al Mataar and **Wadi Al Safa 5** top both lists, demonstrating rare synergy between new capital and a widening investor base—a signal these communities are in the fastest-growing phase of their cycle.

Conclusion

Examining 2024's incremental uplifts reveals where fresh money and new entrants are driving today's growth. Dubai's market remains bifurcated between heavyweight, institution-led communities and high-growth, retail-driven suburbs, providing a spectrum of tailored opportunities—from large-scale institutional ventures to agile retail investments—to suit every investor profile



HOLDING-PERIOD TRENDS (2019–2024) – KEY INSIGHTS

Residential Units

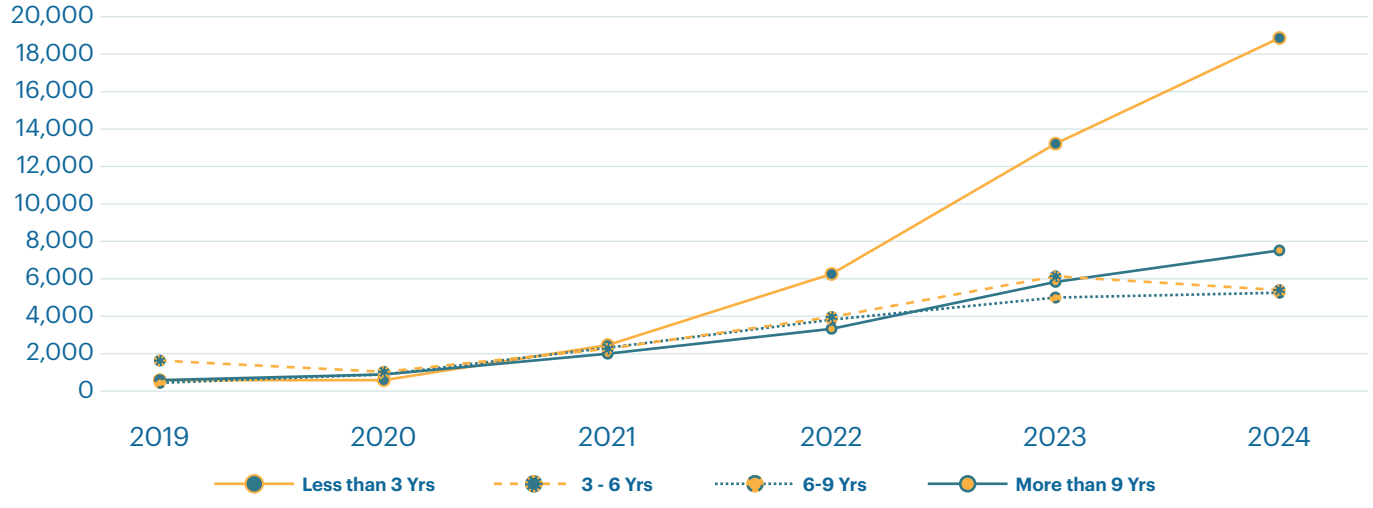
Cohort	Resold (2019 - 2024)	Held Inventory (2019 - 2024)
< 3 years	1,371 → 18,768	94,364 → 289,906
3–6 years	2,225 → 5,929	70,161 → 43,358
6–9 years	1,331 → 5,923	37,386 → 51,939
> 9 years	1,218 → 7,801	39,092 → 86,971
Average Age (m.)	67 → 60	-

- **Trend:** Over six-fold growth in short-term resales; holding periods shortened by **10%.**
- **Interpretation:** The apartment sector leads in trading velocity, complemented by expanding long-term ownership.

Still owned Residential units



Resold Residential units



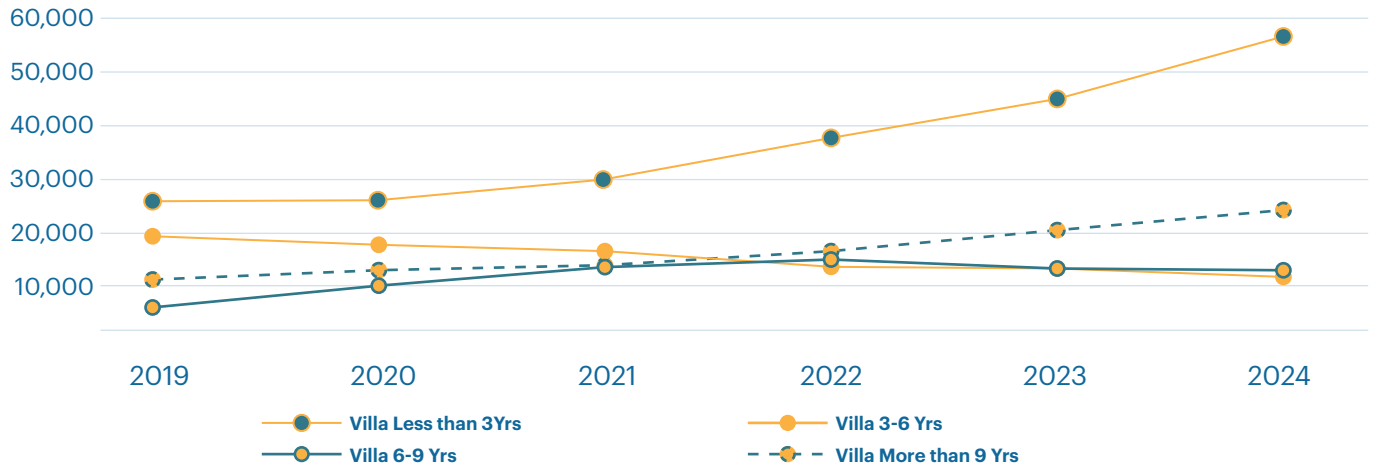
HOLDING-PERIOD TRENDS (2019–2024) – KEY INSIGHTS

Villas

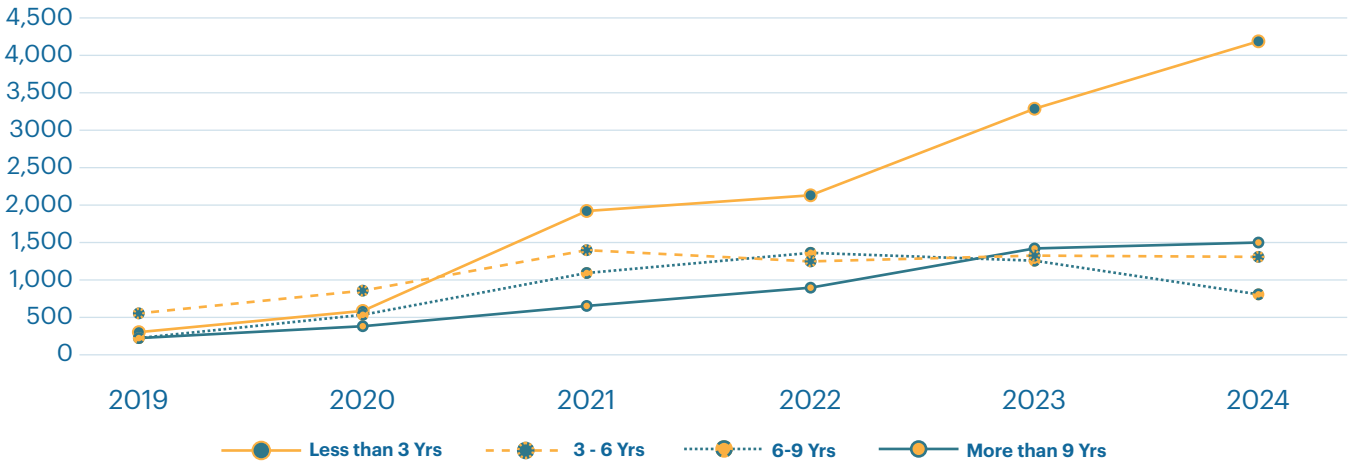
Cohort	Resold (2019 - 2024)	Held Inventory (2019 - 2024)
< 3 years	488 → 4,219	24,499 → 52,046
3–6 years	742 → 1,432	18,650 → 12,016
6–9 years	359 → 955	7,010 → 12,728
> 9 years	390 →1,635	11,393 → 23,113
Average Age (m.)	68 → 58	-

- **Trend:** Four-fold increase in **sub-3-year resale**; average resale holding period contracted by **15%.**
- **Interpretation:** New-model villas trade rapidly.

Still owned villa



Resold villa



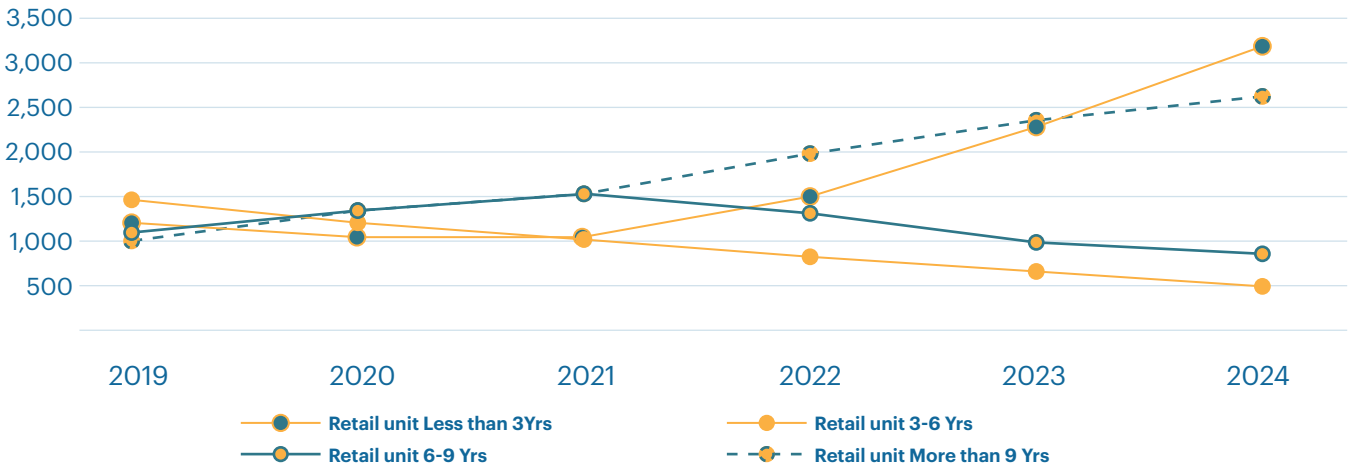
HOLDING-PERIOD TRENDS (2019–2024) – KEY INSIGHTS

Retail Units

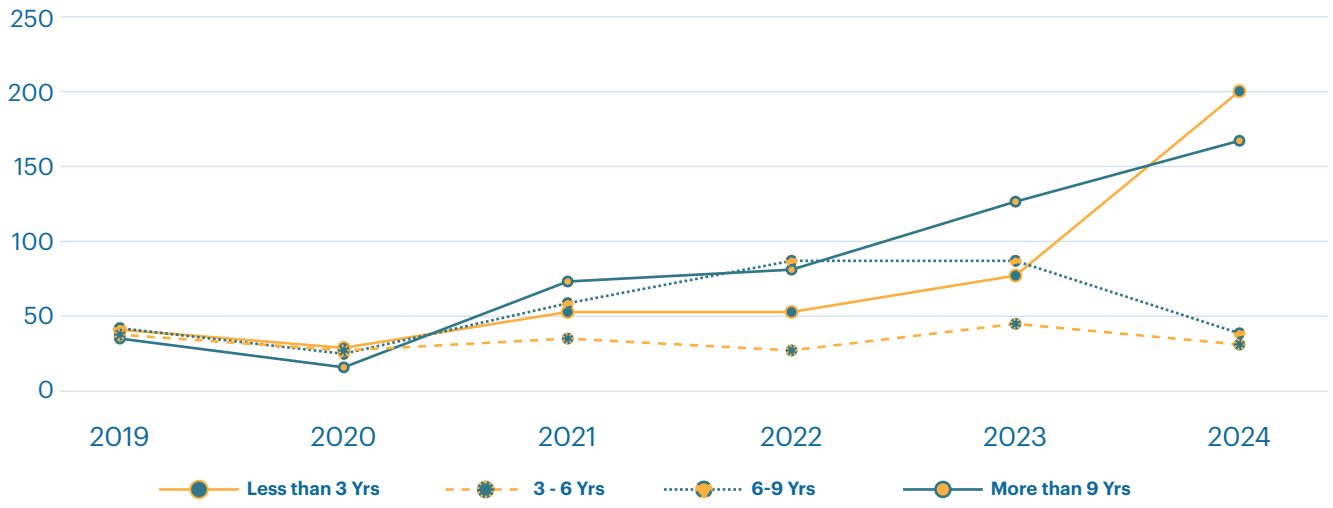
Cohort	Resold (2019 - 2024)	Held Inventory (2019 - 2024)
< 3 years	44 → 203	1,278 → 3,231
3–6 years	42 → 34	1,543 → 577
6–9 years	45 → 43	1,176 → 938
> 9 years	38 → 168	1,088 → 2,669
Average Age (m.)	66 → 79	-

- **Trend:** Nearly three-fold increase in annual resales; slight reduction in mid-term cohort.
- **Interpretation:** Retail assets combine active trading in newer stock with a solid base of long-term leasing.

Still owned Retail



Resold Retial



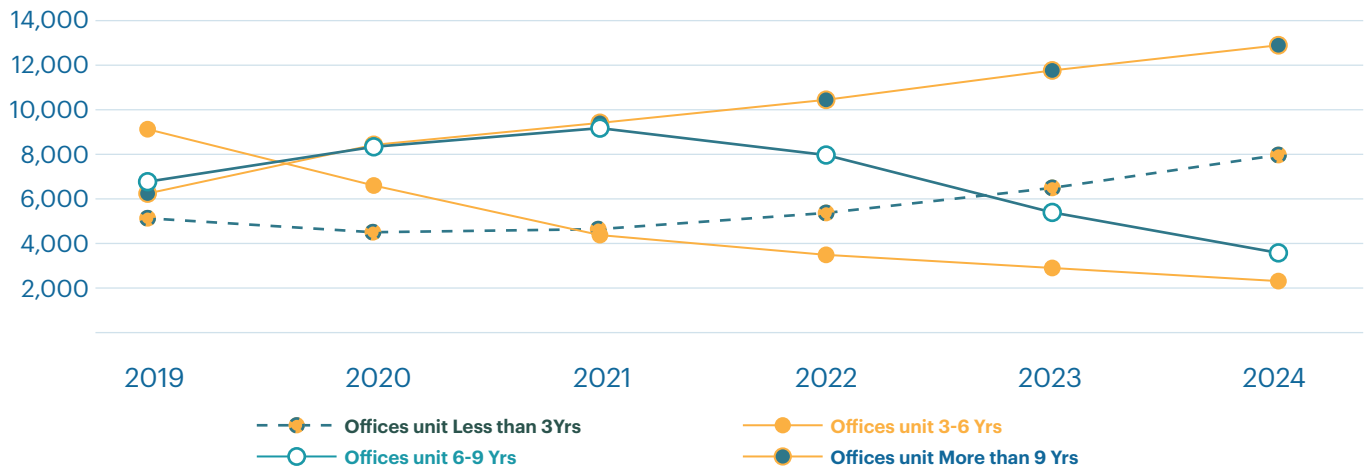
HOLDING-PERIOD TRENDS (2019–2024) – KEY INSIGHTS

Offices

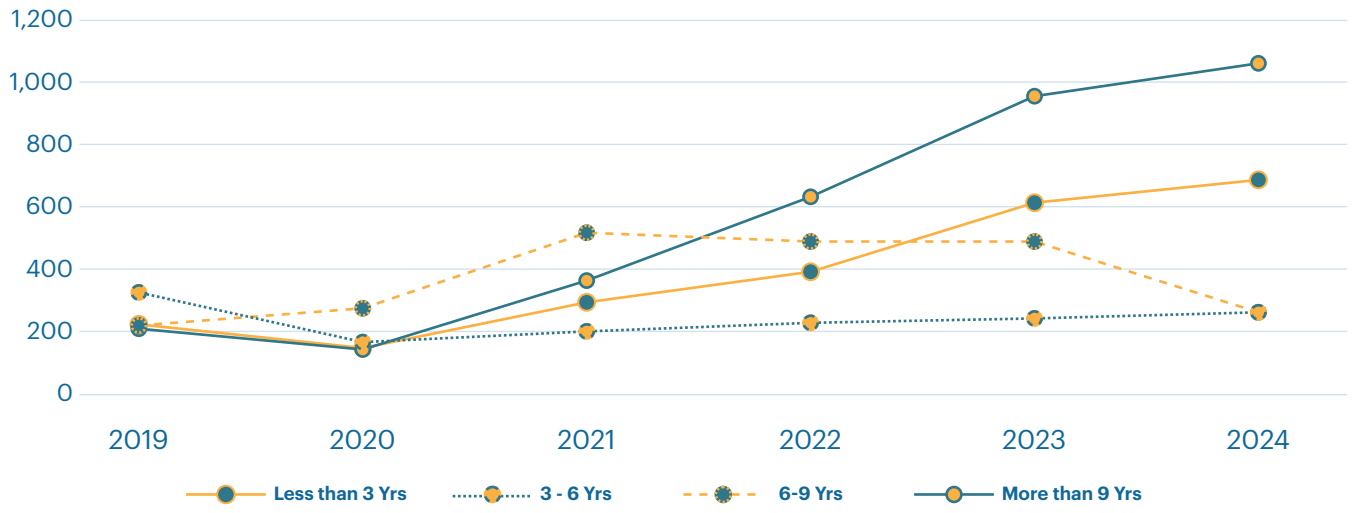
Cohort	Resold (2019 - 2024)	Held Inventory (2019 - 2024)
< 3 years	217→676	4,998→7,841
3–6 years	322→247	9,084→2,119
6–9 years	212→267	6,628→3,392
> 9 years	209→1,032	6,139→12,704
Average Age (m.)	67→89	-

- **Trend:** Resales more than doubled; the > 9-year cohort quadrupled, driving average holding to 89 months.
- **Interpretation:** Office segment remains institutionally anchored, with growing participation from other segment of investors.

Still owned Offices



Resold Offices



HOLDING-PERIOD TRENDS (2019–2024) – KEY INSIGHTS

Strategic Insights

- **Accelerated Residential Turnover**
  Sub-3-year resales in villas and apartments have surged, compressing holding periods and reflecting robust secondary-market activity.

- **Enduring Commercial Holdings**
  Retail and office segments continue to accumulate **long-term assets (> 9 years)**, underscoring their appeal for stable, income-driven investors.

- **Golden Visa Effect**
  The expansion of the UAE's Golden Visa programme has incentivised high-net-worth individuals and long-term residents to increase their real-estate allocations and extend their holding horizons—particularly in premium villa and commercial sectors—thereby reinforcing market stability and deepening capital commitments.

- **Policy Implications**
  Continued facilitation of residential liquidity, alongside targeted incentives for long-term commercial investment and visa-linked ownership benefits, will further diversify and fortify Dubai's property ecosystem.



INVESTOR PROFITABILITY ANALYSIS:
OFF-PLAN PROPERTIES (2021–2024)

This analysis represents realized profits by investors who bought and later sold off-plan villas and units in Dubai from 2021 to 2024. The profit is calculated as the gain from the resale value of properties upon delivery or during the construction phase—a strong indicator of capital appreciation and investor sentiment in the off-plan market.

Key Highlights

Segment	Total Investor Profit (AED)
Villas	1,853,914,895
Units	3,994,720,991
Total	**5,848,635,886**

Villas: Exceptional Capital Gains Across All Cycles

Investors who entered the market early—particularly in 2021 and 2022—achieved **exceptional profit margins:**

- **2021 buyers** who sold between 2022–2024 realized **AED 777.6M** in total profit. This cohort benefited from the early post-pandemic rally and surge in demand for larger living spaces.
- **2022 buyers** captured another **AED 646.5M**, with the bulk of profits realized from resale in 2023 and 2024.
- **Even 2023 buyers,** despite a shorter holding period, yielded **AED 382.1M**, signaling a continued rise in villa valuations.

Notably, **villa investors realized a 3.5x growth in annualized profit from 2021 to 2024,** indicating strong demand for low-density, spacious living—especially in prime suburban and branded villa communities.

Units: Strong and Sustained Profit Growth

Unit investors outperformed villa investors in absolute returns, with nearly **AED 4 billion in gains, highlighting:**

- Greater market liquidity and transaction volume in the apartment segment
- Rapid price appreciation in key communities such as Downtown, Dubai Marina, JVC, and Business Bay
- Aggressive off-plan launches by major developers offering early-bird pricing and flexible payment plans
- **2021 buyers** who sold in 2021–2024 recorded **AED 1.47B** in profits—nearly double the return of villa investors from the same year.
- **2022 buyers** realized another **AED 1.73B,** benefiting from resale opportunities at peak pricing during the 2023 boom.
- **Even 2023 and 2024 buyers,** with limited holding time, collectively generated **AED 797.4M,** reflecting the strength of Dubai's off-plan market.

INVESTOR PROFITABILITY ANALYSIS:
OFF-PLAN PROPERTIES (2021–2024)

Investor Behavior Trends

- **2022 Is the Most Profitable Entry Year:** Investors who bought in 2022 gained the most in both villas and units—totaling **AED 2.37B,** confirming it as a peak year for strategic off-plan acquisition.
- **2024 Market Still Offers Profitability:** Even 2024 purchases have yielded **AED 209.8M** in profit through flips and early-stage resale, signaling continued momentum and short-term gain potential in selected off-plan launches.

Insight

These figures confirm that **Dubai's off-plan market is not only thriving but delivering substantial ROI** across both villa and unit categories. High liquidity, investor demand, and developer innovation have combined to produce a market where:

- Early access yields sizable profits
- Villas deliver premium returns on quality and exclusivity
- Units offer higher volume and faster turnover potential

As **we move into 2025,** off-plan investment will likely remain highly attractive—particularly in newly launched luxury waterfront, branded residences, and freehold suburban hubs.

INVESTOR PROFITABILITY ANALYSIS :
INVESTOR GAINS FROM EXISTING PROPERTIES (2021–2024)

This analysis represents realized profits by investors who bought and later sold Existing villas and units in Dubai from 2021 to 2024.

Summary

- **Total Profit from Existing Properties: AED 33.54 billion**
- **Villas: AED 24.76 billion (≈ 74% of total)**
- **Units: AED 8.77 billion (≈ 26% of total)**

This confirms that existing villas continue to dominate Dubai's resale profit landscape—both in terms of volume and value—while units demonstrate strong liquidity and growing capital appreciation, particularly in prime vertical communities.

Year-by-Year Profit Realization

2021 Purchases: The Smart Money Move

- Investors who entered in 2021 and exited through 2024 realized **AED 13.97B** in profits—**the most profitable investor cohort to date.**
- Villas alone accounted for over **AED 10.6B,** driven by:
  - A post-COVID shift toward villa living
  - Limited inventory in premium villa communities
  - Early market entry timing at favorable prices
- Unit investors also performed strongly, earning **AED 3.37B**, largely from resale in newly developing freehold towers and waterfront locations.

2022 Purchases: Peak Expansion Cycle

- Investors earned **AED 10.23B,** with profits evenly spread between 2023 and 2024 resales.
- A large share of villa profits **(AED 7.66B)** came from rapid value appreciation in freehold zones like Dubai Hills, Tilal Al Ghaf, and Arabian Ranches.
- The unit market also gained strength, with nearly **AED 2.57B in resale profits,** particularly in high-demand districts such as JVC, Arjan, and Business Bay.



INVESTOR PROFITABILITY ANALYSIS :
INVESTOR GAINS FROM EXISTING PROPERTIES (2021–2024)






2023 Purchases: Short-Term Success

- Investors who bought and sold within the year, into 2024, earned a combined **AED 7.48B.**
  - **Villa profits: AED 5.39B**
  - **Unit profits: AED 2.09B**

2024 Purchases: Profits Already Emerging

- Even within the same year, resale activity has generated **AED 1.83B** in gains—**a strong sign of short-term opportunity** and liquidity in existing property markets.
- The ability to generate near-instant capital gains shows the **market's maturity, demand depth,** and pricing momentum—especially in upgraded, ready-to-move-in inventory.

Outlook: Stability with Selective Upside

The market for existing properties is expected to remain robust in 2025, especially as demand shifts toward:

- **Ready-to-move-in** homes with quality finishes
- **Family-oriented villas** in integrated communities
- **Mid-market units** with high rental yields and upgrade potential

Profitability will likely become more **location-sensitive,** rewarding buyers who focus on under-supplied micro-markets and high-lifestyle demand areas.

INVESTOR PROFITABILITY ANALYSIS :
OFF-PLAN TO EXISTING RESALES (2021–2024)

This analysis represents realized profits by investors who bought off-plan and later sold Existing villas and units in Dubai from 2021 to 2024.

Executive Summary

- **Total Investor Profit: AED 6.91 billion**
- **Villa Profit: AED 1.96 billion (28%)**
- **Unit Profit: AED 4.95 billion (72%)**

This data clearly highlights the **lucrative opportunity in buying off-plan and reselling post-handover,** especially for **units,** which account for nearly **three-fourths** of the total realized profits in this category.

Villas: High-Value Exit Strategy Post-Handover

- **Total Villa Profit: AED 1.96B**
- Most profitable resale years: **2023 (AED 398M) and 2024 (AED 1.46B)**—showing a strong post-handover bounce in value.
- Early investors in 2021 who sold in 2024 earned **AED 787M,** the highest single-year return from this asset class.
- The trend suggests that **holding villas for 2–3 years post-launch delivers optimal appreciation,** particularly when targeting:
  - Family-oriented master communities
  - Limited-supply freehold villa zones

Units: Shorter Cycle, Higher Returns

- **Total Unit Profit: AED 4.95B**
- 2021 buyers made the **highest total gains, realizing AED 2.76B,** with major resale happening in:
  - **2023: AED 1.24B**
  - **2024: AED 1.12B**

The resale profit curve shows units allow for **shorter investment cycles** and strong post-handover premiums, especially in:

- Waterfront projects
- Central business districts
- Mixed-use, lifestyle-centric towers

INVESTOR PROFITABILITY ANALYSIS :
OFF-PLAN TO EXISTING RESALES (2021–2024)

Strategic Takeaways

1. **Units Dominate Profitability in This Segment**
   - Driven by easier liquidity, faster construction cycles, and stronger demand for turnkey apartments in vibrant communities.
   - Unit resale outperformed villas by 2.5x in realized profits
2. **Resale Timing Is Critical**
   - Investors who timed their exits with peak demand windows (2023–2024) secured the strongest margins.
   - Market maturity, population growth, and supply delivery gaps supported higher resale values.
3. **Off-Plan Remains a Strategic Entry Point**
   - Off-plan properties continue to offer high upside potential when matched with strong developers and desirable locations.

Outlook for 2025 and Beyond

With robust population growth, and continuous demand for brand-new properties, the off-plan-to-existing resale model remains a highly attractive play for investors. Savvy players will focus on:

- **Emerging districts** with future infrastructure upside (e.g., Dubai South, Meydan, JVC expansion)
- **Branded residences** and lifestyle-integrated projects with high buyer appeal



INVESTOR PROFILE ANALYSIS – 2024

New vs. Active Investors in Dubai Real Estate

Dubai's real estate market continues to attract a **balanced mix of new entrants and seasoned investors,** driving healthy competition, sustained liquidity, and long-term growth across both off-plan and ready property segments. The overall number of unique investors rose **40.8%** in 2024, totaling **158,038 individuals,** with combined investments of **AED 525 billion—a 27.5% increase in transaction value** compared to the previous year.

New Investors : Expanding Market Reach & International Appeal

Category	Investor Count	YoY Change	Transaction Value (AED)	YoY % Value Growth
New Investors	108,451	+37.77%	266.71 billion	+24.07%

Dubai welcomed over **108,000 new investors** in 2024—a **record high,** reflecting surging interest from **first-time buyers,** particularly overseas and lifestyle-focused investors. Notable insights:

- **Off-Plan Boom:**
  - **69,791 investors (up 61%)** contributed **AED 130.8B** (+44%) to the off-plan market.
  - Strongest performance in **off-plan villas with a 64.5% increase in value,** indicating demand for larger, branded, and family-oriented homes.
- **Existing Properties:**
  - While more modest in growth, **34,609 new buyers** still entered the ready property market, investing **AED 74.8B** (+10.7%).
  - Growth was concentrated in **ready buildings** (+33.8% in value), suggesting new investors are beginning to explore income-generating rental assets.
- **Vacant Land:**
  - Over **7,500 new investors** entered the land acquisition space—a **signal of long-term development confidence** or investment in future capital appreciation zones.

Interpretation

The surge in new investor activity shows Dubai's success in attracting **fresh global capital,** driven by strategic visa reforms, strong developer marketing, and the emirate's growing global status as a lifestyle destination.

INVESTOR PROFILE ANALYSIS – 2024

Active (Repeat) Investors :
Strong Confidence & Capital Reinvestment

Category	Investor Count	YoY Change	Transaction Value (AED)	YoY % Value Growth
Repeat Investors	49,587	+47.94%	258.27 billion	+31.33%

Active investors displayed **deepening engagement** with the market, committing nearly **AED 260 billion**—up **31%** from 2023. This reflects both **confidence in asset performance and strategic reinvestment. Highlights:**

- **Off-Plan Loyalty:**
  - With over **28,700 investors** (+72%) and a **43% increase** in value, active investors continued to favor **off-plan opportunities,** especially in villa communities (+65.5% growth), showing strong expectations for **price appreciation and lifestyle returns.**
- **Ready Property Resilience:**
  - Over **19,000 re-investors** contributed **AED 74.7B** (+31%) in existing units and villas.
  - The most significant value growth came from **buildings** (+39.7%), reinforcing investor appetite for rental income assets, especially in high-yield areas
- **Land Acquisitions:**
  - A notable **32% rise** in land reinvestment activity, totaling **AED 86.8B.**

Indicator	New Investors	Repeat Investors
Count Contribution	69% of total investors	31% of total investors
Value Contribution	50.8%	49.2%
Focus Segment	Off-Plan (especially villas)	Balanced: Off-plan, buildings, land
Strategic Behaviour	First-time ownership, end-user purchases	Portfolio expansion, yield play, capital growth

Interpretation

Repeat investors are **diversifying portfolios,** capitalizing on rental yields, off-plan growth potential, and long-term development plays—signaling **confidence in the market's maturity and profitability.**

ANALYSIS OF INVESTOR DYNAMICS IN DUBAI'S REAL ESTATE MARKET (2024)

Resident vs. Non-Resident Investors: Growth Trend

- **Residents (Active + New) dominate** the investor base by volume, accounting for a **total of 94,905 investors.**
- **Non-Residents** show very strong engagement among **new investors** (51,737 investors), indicating Dubai's increasing **global appeal** for first-time international investors.

Key Insight

While residents remain a strong foundational base, **Dubai's strategic positioning as a global investment hub is clearly attracting more non-residents, especially new entrants.**

Active vs. New Investors: Behavior Differences

- Resident Active Investors grew **by 46.89%** with an investment **growth of 36.18%** — a strong confidence signal from the existing resident investor base.
- Non-Resident New Investors had **44.7% growth in count and 40% growth in value**, showcasing fresh capital inflow from new international buyers.

Property Status: Off-Plan vs. Existing

- **Off-Plan Dominance:**
  - Across both resident and non-resident segments (active and new), off-plan properties consistently show higher growth rates in both investor numbers and investment value:
    - **Resident Active Investors:** Off-plan investment growth **+42.61%** vs. existing property growth **+32.44%.**
    - **Non-Resident Active Investors:** Off-plan growth **+60.07%** vs. existing **+27.65%.**
    - **Resident New Investors:** Off-plan growth **+42.16%** vs. existing **+11.08%.**
- **Existing Properties:**
  - Slower growth, particularly among new non-resident investors **(-2.49% decrease in count),** suggesting **off-plan projects are preferred for their flexible payment plans, brand-new facilities, and future appreciation potential.**

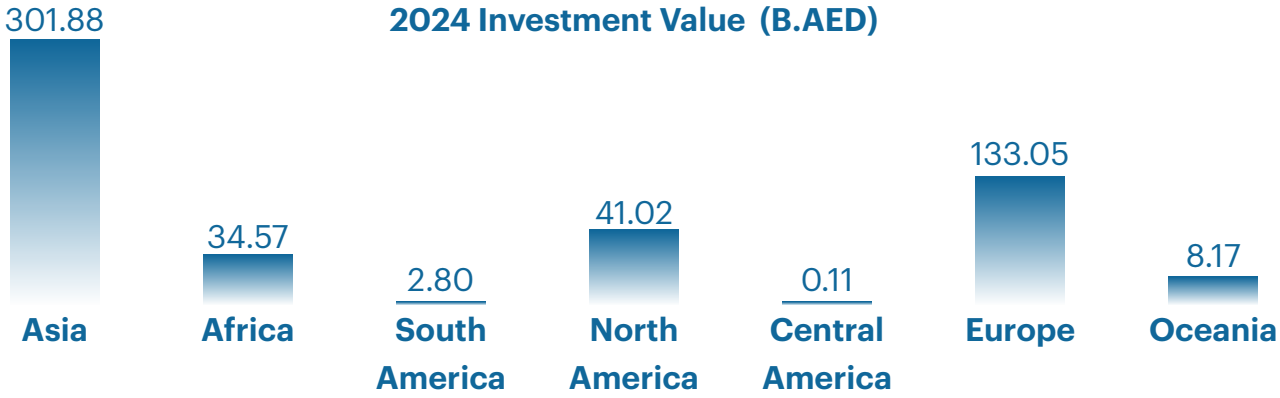
🔑 **Key Insight**

Dubai's off-plan market is the engine of growth, supported by strong developer activity, attractive payment plans, and the promise of future-ready communities.

- **Strategic Observations**
  - **Residents** are showing loyalty and diversifying portfolios (with growing off-plan investment).
  - **Non-residents,** especially **new entrants,** overwhelmingly prefer **off-plan properties,** signaling **strong future expectations** about Dubai's real estate market.

INVESTMENT VALUE ANALYSIS BY CONTINENT

The Dubai real estate market continues to assert its global appeal, attracting investments from every major continent. The total investment value recorded from investors amounts to **AED 521.6 billion,** demonstrating the emirate's status as a premier global property destination. The distribution of investment value reveals notable insights into investor behavior, source market strength, and future strategic opportunities.



Key Insight

- **Asia – Dominant Investment Source**
  Asian investors are by far the largest contributors, with investments totaling **approximately AED 301.9 billion,** accounting for **About 58% of the total global investment value.**
  This reflects Dubai's strong connectivity with key Asian economies, including significant contributions from countries such as India, China, Pakistan, and the GCC states. Ease of doing business, and Dubai's reputation as a lifestyle and investment hub for Asian high-net-worth individuals (HNWIs) are major drivers.
- **Europe – Second Largest Contributor**
  European investors represent the second-largest investment bloc, contributing a**pproximately AED 133.1 billion (About 25.5% of total investment).** European participation has risen markedly post-pandemic, fueled by factors such as lifestyle migration, and Dubai's attractiveness as a safe, stable, and cosmopolitan destination for second homes and alternative assets.
- **North America – Growing Strategic Market**
  Investors from North America (including the United States and Canada) invested **around AED 41 billion (About 7.9% of the total).** This indicates a growing awareness among North American investors of Dubai's comparative advantages: high rental yields, and a rapidly maturing luxury property segment. Initiatives like the Golden Visa program have further enhanced Dubai's pull for affluent individuals from this region.

INVESTMENT VALUE ANALYSIS BY CONTINENT

Key Insight

- **Africa – Emerging Potential**
  Africa contributed approximately **AED 34.6 billion (About 6.6%).** Dubai's role as a gateway city for African investors is strengthening, especially among affluent individuals and emerging businesses seeking international expansion and portfolio diversification.
- **Oceania – Niche but High-Value Segment**
  Investors from Oceania (primarily Australia and New Zealand) accounted for **AED 8.17 billion.**
  While relatively smaller in absolute terms, this segment tends to target high-end residential and branded residences, reflecting an appetite for luxury and lifestyle-driven investments.
- **South America and Central America – Nascent Engagement**
  South America and Central America collectively contributed around **AED 2.9 billion**—a relatively minor share of the global total (About 0.5%).

Insights

Unlocking New Markets:
Targeted campaigns in North America, Africa, and Oceania—highlighting Dubai's unique investment proposition—could yield additional growth. Meanwhile, nurturing nascent interest from Latin America could open a new frontier over the medium term , especially among HNWIs seeking stable investment avenues.



CORRELATION BETWEEN INVESTOR ORIGINS AND INTERNATIONAL VISITORS

Continent/Region	Investor Value (AED)	% of Total Investor Value	Visitor Share (2024)	Key Observations
Asia (South, North & SE)	301.9 billion	~58%	27%	Strong correlation; Asia is both a major source of real estate investment and visitors. Particularly evident in mid-market apartments and branded condos.
Africa	34.6 billion	~7%	5%	Moderate correlation. Investment activity rising, matching growing demand in budget/mid-tier rental segments.
Americas (North, Central, South)	43.9 billion	~8%	7%	Alignment between visitor share and investment value, especially with corporate long-stays in DIFC, City Walk.
Europe (Western, Eastern, CIS)	133.1 billion	~26%	34%	Strong linkage. Europeans are major contributors to both tourism and property investment, focused on waterfront units, prime leasing, and luxury villas.
Australasia (Oceania)	8.2 billion	~2%	2%	Exact match. Small but affluent group, supporting high-end properties like golf-course villas and luxury hotels.

Key Strategic Insights

- **Asian investors dominate** the Dubai real estate market, and this correlates with the high share of Asian visitors (especially from South Asia and rising from North/SE Asia).
- **European buyers** not only remain significant in luxury and waterfront real estate but are also a major part of Dubai's visitor economy.
- **North American and African investors** show a proportional relationship to their visitor numbers, suggesting balanced growth opportunities.
- **Australasian segment,** though small, is high-value, indicating potential for targeted ultra-luxury marketing.

Additional Observations

- **Off-Plan Properties** have a higher share among new non-resident investors, especially from Asia and Europe — aligning with the new visitor demographics.
- **Family-focused and mid-market rental demand** from South Asia and MENA is reflected in investment activity in suburban and mid-tier communities.





03.

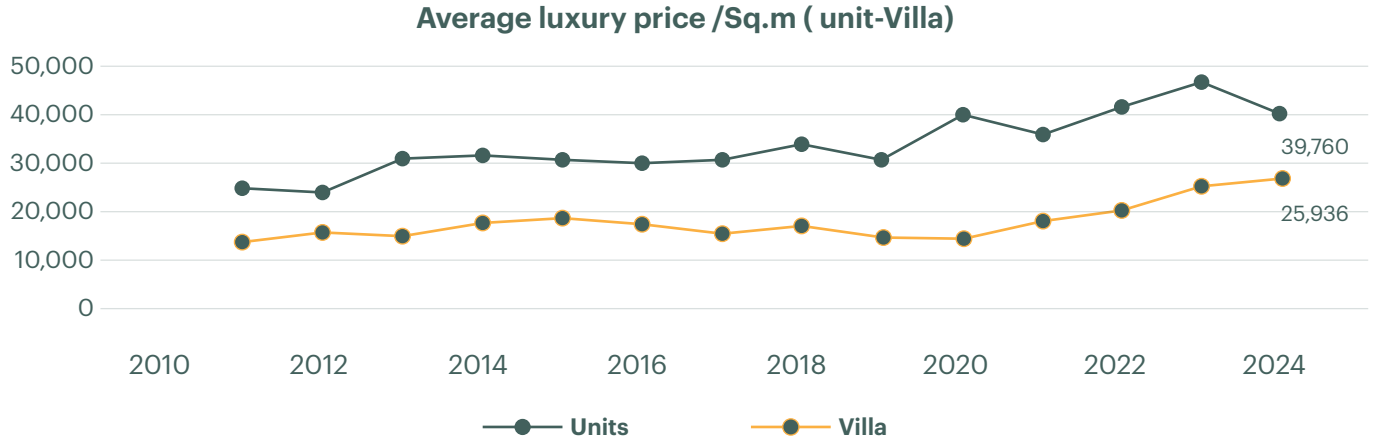
Luxury Market

OVERVIEW:
LUXURY SEGMENT SNAPSHOT

Market Overview

Dubai's luxury real estate segment, defined by the top 10% of units and villas by price per square meter, reached new heights in 2024, continuing a post-pandemic surge in ultra-prime demand. This segment demonstrates growing global investor interest, wealth migration, and confidence in Dubai as a lifestyle and financial hub.

- **Luxury properties (top 10% by price/Sq.m) make up a significant share of the market in key communities.**



Key Insight

Villa prices have outpaced unit growth since 2023, signaling rising preference for private, spacious living.

Dubai's luxury segment is no longer an alternative asset class – it's a **core holding** for global investors, UHNWIs, and family offices. With a stable macroeconomic climate, investor-friendly regulation, and world-class lifestyle infrastructure, Dubai remains one of the most resilient and attractive luxury property markets globally.

OVERVIEW:
DUBAI LUXURY MARKET

Luxury units segment:

Key Performance Indicators

- **Average Luxury Price/Sq.m:**
  Peaks at AED 113,550/Sq.m in Island 2, signifying hyper-luxury offerings.
- **Total Worth of Luxury Units:**
  The highest community-wide luxury value is in **Marsa Dubai,** totaling over **AED 16.2 billion,** showing dominance in high-value inventory.
- **Highest Luxury Unit Count:**
  Business Bay leads with **2,864 luxury units,** indicating strong inventory scale in a centrally-located, high-demand area.

Top Performing Communities: Segment Highlights

- **Price per Sq.m – Ultra-Prime Markets**

Community	Avg. Luxury Price/Sq.m	Insight
Island 2	AED 113,550	Hyper-luxury enclave, possibly branded or limited-stock
Me'Aisem First	AED 99,524	Emerging luxury hotspot with premium offerings
Nad Al Shiba 1	AED 54,706	Transitioning into a high-end address
Jumeirah Second	AED 53,160	Established legacy location with consistent prestige
Marsa Dubai	AED 49,905	High value with strong location-brand equity

Insight
The top-priced communities blend either coastal exclusivity (Island 2, Jumeirah) or central urban luxury (Marsa Dubai, Me'Aisem).

- **Total Luxury Units Worth – High Capital Concentration**

Community	Total Luxury Worth (AED)	Key Observations
Marsa Dubai	16.2 Billion	Tourist-friendly + investment appeal
Burj Khalifa Area	12.1 Billion	Iconic, trophy asset concentration
Business Bay	10.2 Billion	Corporate + waterfront living
Palm Jumeirah	8.6 Billion	Waterfront villa-apartment blend
Al Wasl	5.4 Billion	luxury with high scarcity

Insight
Communities like Marsa Dubai, Palm Jumeirah, and Burj Khalifa demonstrate a dual benefit of global recognition and sustained buyer demand, especially among international HNWI and UHNWIs.

OVERVIEW:
DUBAI LUXURY MARKET

Communities by Number of Luxury Units:

Community	Count of Luxury Units	Insight
Business Bay	2,864	High-rise luxury densification
Marsa Dubai	2,791	Investment + short-term rental hotspot
Burj Khalifa	1,995	Premium branded and view-based assets
Al Wasl	845	Villas and low-rise luxury apartments
Al Khairan First	784	Likely benefiting from recent development phases

Insight

Business Bay and Marsa Dubai are not just price-driven—they're volume-driven luxury centers, appealing to investors who prioritize liquidity and rental yields over exclusivity alone.

Emerging & Undervalued Luxury Zones

Some communities are showing strong price performance per Sq.m but have lower total asset counts, suggesting:

- limited supply, high ticket size
- Potential appreciation due to scarcity

These include:

- Island 2 (Top price, only 38 luxury units)
- Al Jadaf and Zaabeel First/Second (Central location, modest unit count, rising infrastructure investment)
- Jumeirah First/Second (Mature districts with brand legacy but limited new supply)



OVERVIEW:
DUBAI LUXURY MARKET

Luxury villa segment

Key Metrics Overview:

- **Highest Avg. Price/Sq.m:** Island 2 at **AED 71,411/Sq.m**, significantly above the rest.
- **Highest Total Worth of Luxury Villas:** Palm Jumeirah leads at **AED 5.4 billion,** reflecting iconic status.
- **Top Volume by Count:** Al Hebiah Fourth has **293 luxury villas,** highlighting strong new-build luxury stock.

Top Performing Communities: Segment-Wise Insights

- **Top 5 by Price/Sq.m – Exclusive Ultra-Prime Zones**

Community	Avg. Luxury Villa Price/Sq.m (AED)	Observation
Island 2	71,411	Ultra-exclusive island development
Palm Jumeirah	50,158	Globally renowned, waterfront estates
Jumeirah First	32,747	Prime inner-city legacy villas
Me'Aisem First	28,383	Fast-rising luxury cluster
Wadi Al Safa 3	28,351	New suburban luxury zone

Insight

Island 2 and Palm Jumeirah are in a league of their own, commanding "global elite" villa pricing, especially for branded and waterfront estates.

- **Top 5 by Total Worth – High Capital Density Areas**

Community	Total Luxury Villa Value (AED)	Notes
Palm Jumeirah	5.4 Billion	Largest value concentration in waterfront villas
Wadi Al Safa 3	3.2 Billion	Rapidly urbanizing villa belt
Al Merkadh	1.87 Billion	Close to Downtown, rising prestige
Al Hebiah Fourth	1.68 Billion	Mass-scale delivery with upscale specs
Hadaeq Sheikh Mohammed Bin Rashid	1.36 Billion	Part of MBR City, luxury master plans

Insight

Communities blending strategic centrality + scale (e.g., Al Merkadh, MBR City) are emerging strong value generators, while iconic locales like Palm Jumeirah remain unrivalled in total luxury value.

OVERVIEW:
DUBAI LUXURY MARKET

Luxury villa segment
Top 5 by Number of Luxury Villas – Supply Drivers

Community	Luxury Villa Count	Context
Al Hebiah Fourth	293	New, upscale master developments
Wadi Al Safa 3	260	Popular among end-users and families
Nad Al Shiba First	237	Legacy villa zone seeing upgrades
Hadaeq Sheikh Mohammed Bin Rashid	190	Large-format villa compounds in MBR City
Madinat Al Matar	175	Airport corridor growth area

Insight

The bulk of villa development is outside the traditional core, often in master planned, lifestyle-driven districts, offering more space and modern designs.

Emerging Villa Hotspots

- **Island 2:** Highest price per **Sq.m but only 11 villas** – ultra-limited.
- **Jumeirah First:** Pricey **(AED 32,747/Sq.m)** but only **21 villas** – represents high intrinsic land value in a legacy district.
- **World Islands:** Rare, niche island offering – just 3 luxury villas, but priced at AED 21,929/Sq.m.

These areas are defined by **scarcity, brand value, or uniqueness**—ideal for asset preservation and long-term capital appreciation.

OVERVIEW:
LUXURY SEGMENT SNAPSHOT

Average luxury units price /Sq.m

Island 2 113,550					
Me'Aisem First 99,524			Nad Al Shiba First 54,706		
Jumeirah Second 53,160		Marsa Dubai 49,905		Al Jadaf 49,658	
Palm Jumeirah 47,466		Madinat Al Mataar 46,023	Al Thanyah First 45,358		Al Barshaa South Third 45,047
World Islands 43,196	Al Barsha South Fifth 42,350		Al Safouh First 41,266	Al Hebiah Fourth 37,392	Um Suqaim Third 36,186
Jumeirah First 35,898	Business Bay 35,688	Jabal Ali First 34,932	Al Safouh Second 34,894	Al Wasl 34,853	Al Khairan First 34,353
Al Thanyah Third 33,810	Zaabeel First 33,566	Al Thanyah Fifth 33,358	Zaabeel Second 32,933	Jabal Ali Industrial Second 32,782	Madinat Dubai Almelaheyah 32,717	Palm Deira 32,681
Bukadra 32,441	Nadd Hessa 32,319	Hadaeq Sheikh Mohammed Bin Rashid 32,182	Al Satwa 31,736	Wadi Al Safa 3 30,899	Trade Center Second 30,606

Average luxury villa price /Sq.m

Island 2 71,411					
Palm Jumeirah 50,158			Jumeirah First 32,747		
Me'Aisem First 28,383		Wadi Al Safa 3 28,351		Al Merkadh 28,107	
Al Hebiah Sixth 25,736		Nad Al Shiba First 24,258	Al Thanyah Fifth 24,198		Jabal Ali First 24,044
Al Thanyah Third 23,378	Al Thanayah Fourth 23,298		Hadaeq Sheikh Mohammed Bin Rashid 22,934	Al Hebiah Third 22,780	Wadi Al Safa 2 22,679
Al Barsha South Fourth 22,307	Al Hebiah Fourth 22,275	Wadi Al Safa 7 22,033	Al Kheeran 21,124	Madinat Al Mataar 21,093	Wadi Al Safa 6 21,074
Marsa Dubai 20,861			Dubai Investment Park Second 20,265		

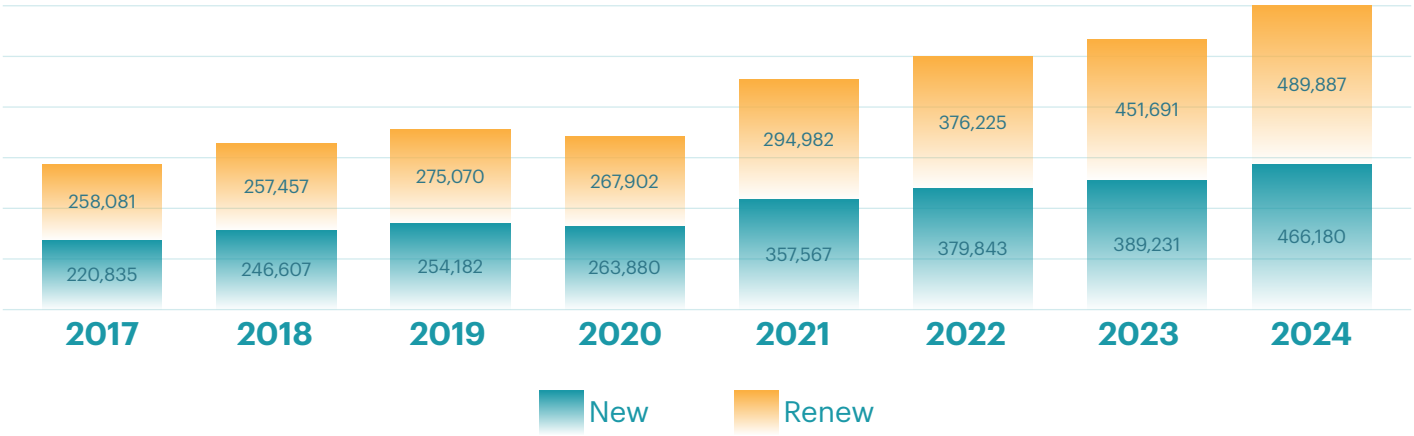
04.

Rental Market

OVERVIEW & KEY TREND OF RENTAL MARKET

Dubai's rental market has demonstrated consistent and accelerating growth over the past 8 years, reaching a record 965,067 contracts in 2024, a 101% increase compared to 2017.

Total Count Of Rental Contracts



Strong Uptick in New Contracts (Demand Indicator)

- The number of new rental contracts rose by 19.7% in 2024 compared to 2023, reaching a total of 466,180 contracts — a clear indicator of sustained demand and rental market expansion.
- A significant rise in post-pandemic relocations, the influx of international talent, and the establishment of new businesses underscore sustained population growth, expanding employment opportunities, and growing investor confidence in the market

Renewals Growth Shows Stability

- Renewals reached approximately 499,887 in 2024, marking a 10.4% Y.o.Y. increase, and continuing the upward trend observed over the past three years.
- Indicates tenant stickiness, satisfaction, and strong occupancy rates across segments.
- Suggests a maturing market with more residents viewing Dubai as a long-term base, not just a transient hub.

OVERVIEW & KEY TREND OF RENTAL MARKET

Market Acceleration Post-2020

- Sharp inflection after COVID-19: Total contracts jumped from 531K (2020) to 965K (2024), an **81% increase** in just four years Driven by:
  - Dubai's pandemic response & safety reputation.
  - Golden Visa & remote work reforms.
  - Booming tourism and business migration.

Implications for Investors

- The sustained rise in rental transactions:
  - Reinforces **Dubai's position as a landlord-friendly,** high-yield rental market.
  - Underpins strong ROI for **buy-to-let investors,** especially in high-demand zones (e.g., Business Bay, Palm Jumeirah).
  - Suggests **ongoing demand for both affordable and luxury leasing options.**

Outlook for 2025 and Beyond

- With population projections of 5.8M by 2040 and continued economic liberalization:
  - Expect 1M+ rental contracts annually soon.
  - Smart, branded, and waterfront luxury assets are poised to benefit most.

Conclusion

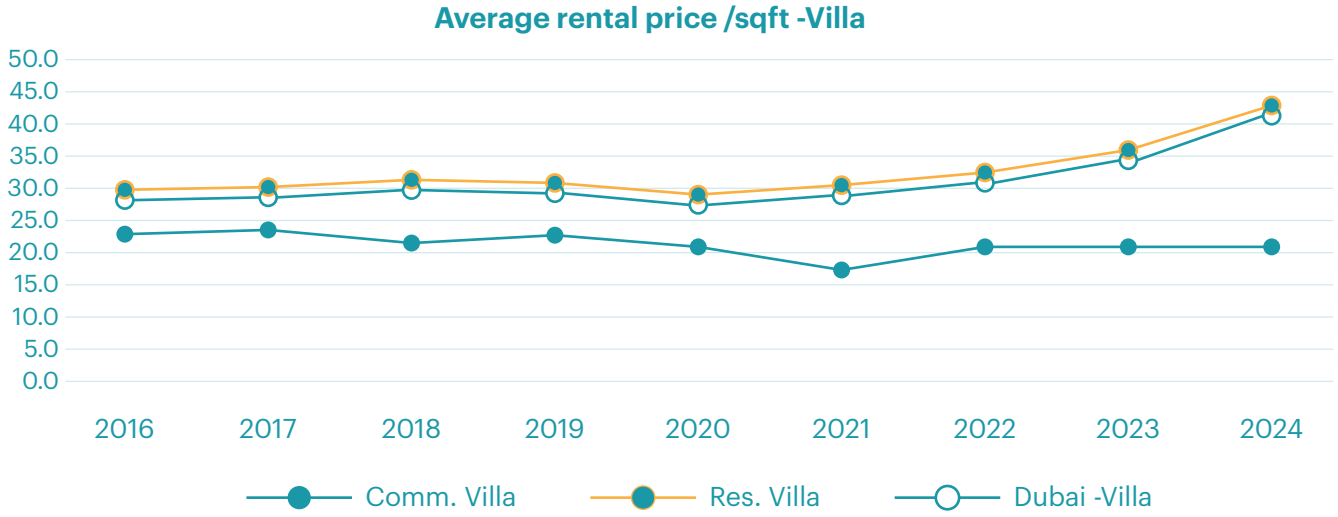
The sustained increase in rental contracts reflects deepening market fundamentals, growing population confidence, and Dubai's evolution into a globally competitive, lifestyle-first urban economy.. For investors, especially in luxury real estate, this trend affirms both income security (renewals) and capital appreciation potential (demand growth).



DUBAI RENTAL PRICE ANALYSIS (2016–2024)

Villas: Residential Momentum Leads the Way

- **Residential villas** jumped from **37.3 AED/sqft** in 2023 to **44.6 AED/sqft** in 2024—a 19.6% rise—underscoring strong demand for spacious, premium family homes among expatriates and high-net-worth residents.
- **Commercial villas** held relatively steady, edging from 23.2 AED/sqft in 2023 to 22.8 AED/sqft in 2024 (a slight 1.7% dip), which still reflects a resilient niche market for office-style and bespoke uses.
- **The overall villa average** climbed from 36.5 AED/sqft to 43.4 AED/sqft, an 18.9% increase driven primarily by the residential segment.







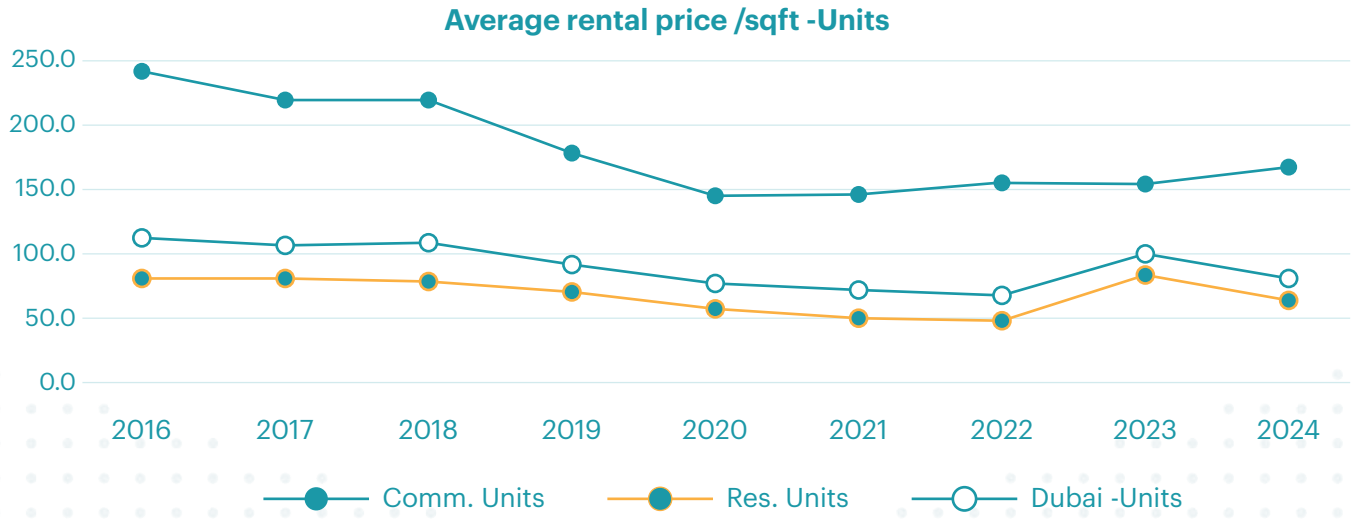




DUBAI RENTAL PRICE ANALYSIS (2016–2024)

Units: Commercial Recovery and Residential Competition

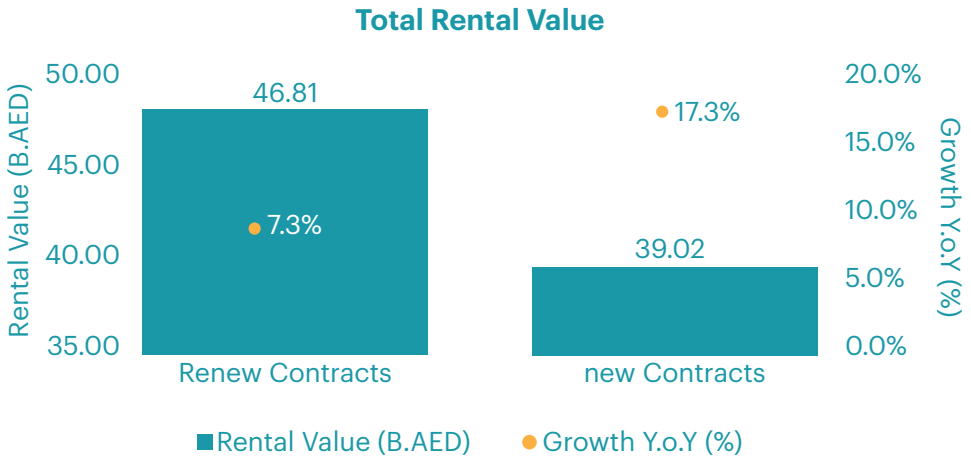
- **Commercial units** rebounded from **156.7 AED/sqft** in 2023 to **170.4 AED/sqft** in 2024—an **8.7%** increase—signaling renewed leasing momentum in key business districts such as Business Bay, DIFC, and JLT.
- **Residential units** softened from **95.2 AED/sqft** in 2023 to **77.3 AED/sqft** in 2024 (an **18.8%** decline), reflecting balanced situation by attractive pricing and improved selection for tenants.
- **The overall unit** average dipped from **104.4 AED/sqft to 90.7 AED/sqft, a 13.1% decrease**, creating a buyer's/tenant's market in well-located apartment stock.



Dubai's rental sector has weathered considerable challenges—including global economic volatility, and the pandemic—and now demonstrates unmistakable signs of recovery. Residential villas have spearheaded this resurgence with double-digit rental growth, while both commercial and residential units continue to trend upward. Consequently, the present market cycle presents compelling opportunities and considerable momentum for investors seeking to enter or expand within Dubai's real estate landscape.

DUBAI RENTAL MARKET 2024:
COMMUNITY-LEVEL PERFORMANCE ANALYSIS

Total Rental Value Growth:
Strong Momentum Across Key Business & Lifestyle Districts

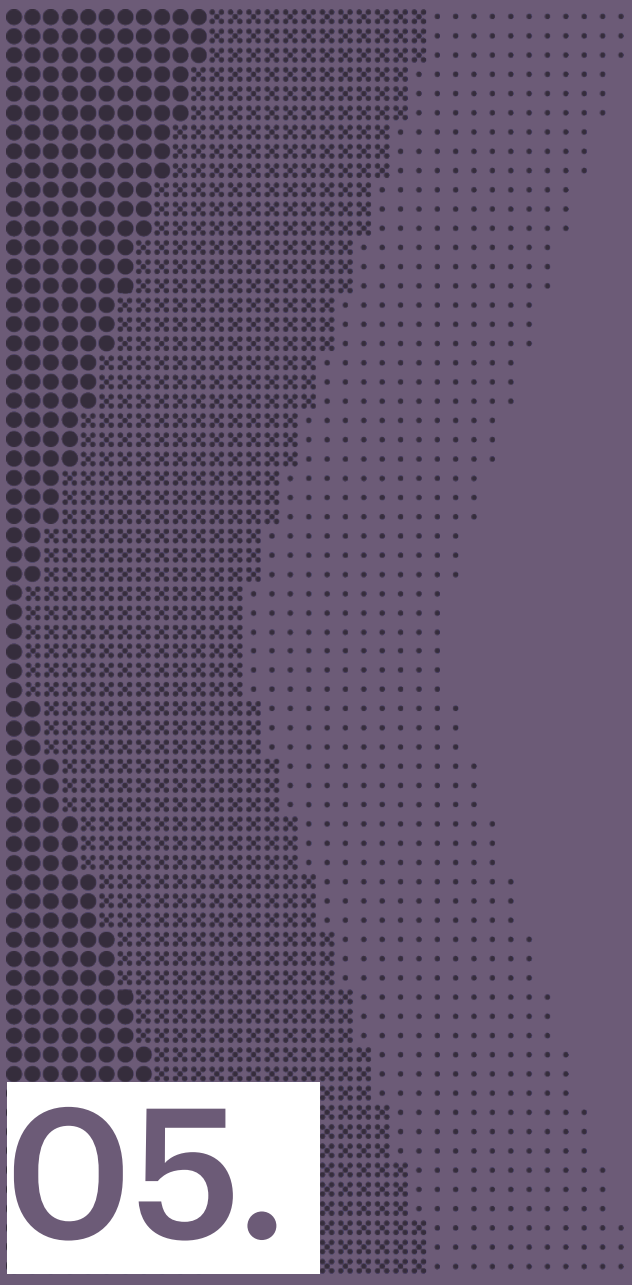


Top Communities by Rental Value (2024)

Rank	Community	Rental Value (AED)	YoY Growth (%)
1	Business Bay	3.54B	23.44%
2	Burj Khalifa	3.45B	16.36%
3	Marsa Dubai (Dubai Marina)	3.40B	2.15%
4	Al Thanyah Fifth	2.23B	13.05%
5	Al Barsha First	2.11B	4.52%

Rental Market Insights

- The rental market in Dubai remains fundamentally strong, with:
  - **High-value zones** (Business Bay, Burj Khalifa, Marina) showing consistent double-digit growth
  - **Industrial and workforce housing districts** growing rapidly in both value and volume
- The **volume-value divergence** in some areas highlights a bifurcated market:
  - High-income tenants drive values up in premium areas
  - Lower-income zones may be experiencing **saturation or softening rents**
- **Dubai's decentralization trend** continues, as outer zones like **DIP, Al Merkadh, and Wadi Al Safa 5** become attractive with new residential projects and infrastructure expansion



05.

Expert Perspectives

THE INTERNATIONAL APPEAL OF DUBAI'S RESIDENTIAL MARKET

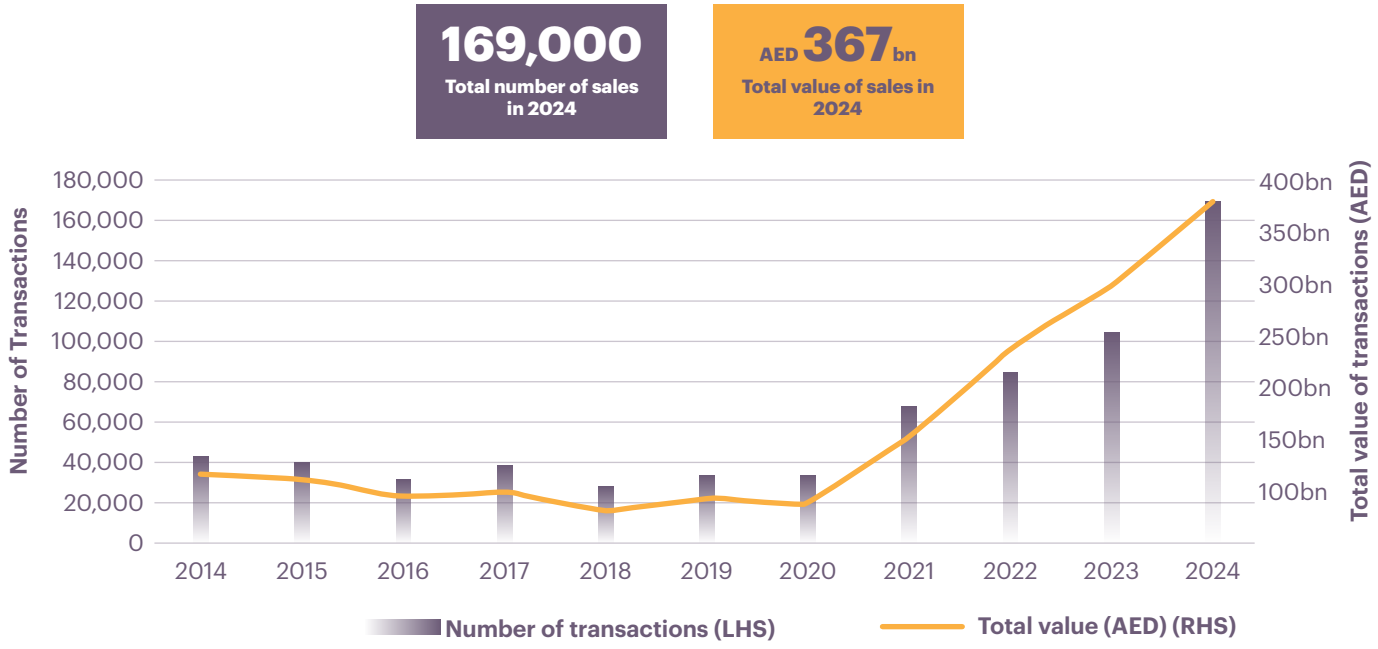
Faisal Durrani
Partner – Head of Research, MENA
Knight Frank

Dubai's residential market has experienced five years of price growth in the city's third freehold residential market cycle that began in March 2020. Over this time, residential prices have grown by 19.1% and currently stand 13.3% above the last market peak in 2014. Villas have been the star performer, with prices rising by 38.1% since the last market peak in 2014.

Demand for villas has been supercharged by domestic buyers looking for extra space in the wake of the pandemic – either for a home office, a home gym, outside space for kids to play, or a combination of the above. Over and above this, however, has been the insatiable demand from the world's wealthy to secure luxury housing in Dubai, which typically has meant ravenous demand for stand-alone, beach front homes.

Last year was a record in many ways: There were 169,000 home sales totalling almost US$ 100bn (AED 367bn). This compares to a total of 120,000 transactions during 2023 worth close to US$ 76bn (AED 278bn).

Number and total value of residential sales in Dubai



Source: Knight Frank, REIDIN

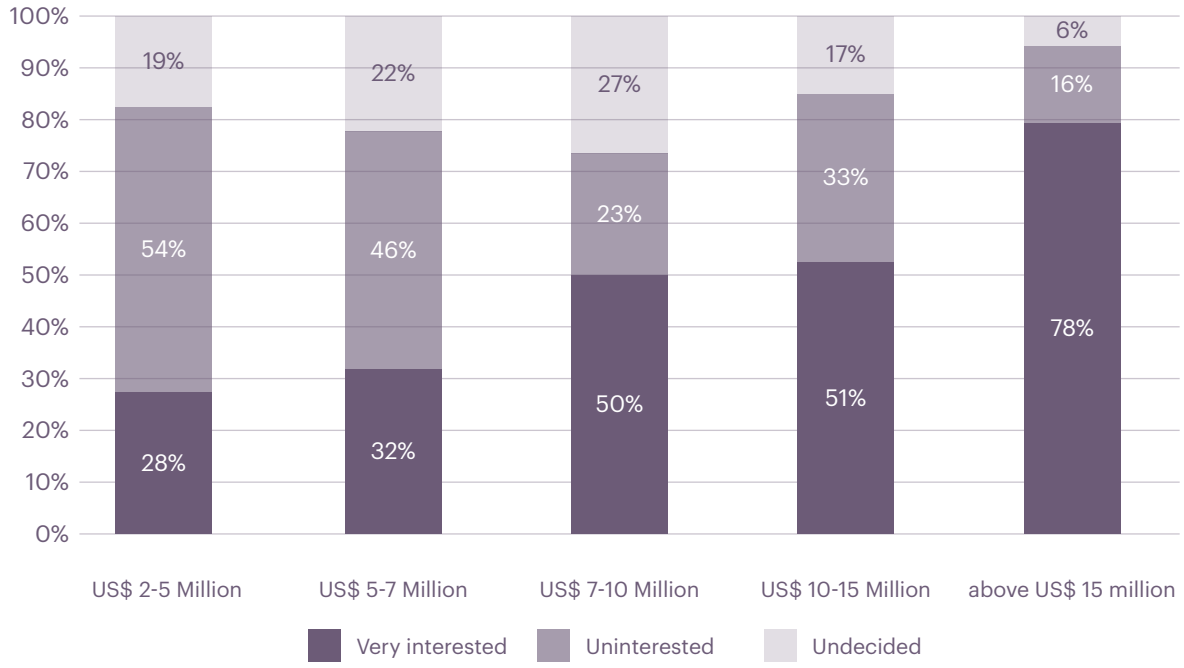
THE INTERNATIONAL APPEAL OF DUBAI'S RESIDENTIAL MARKET

Extraordinary global HNWI appetite

The depth of demand from international buyers is best reflected in the results of our 2024 Destination Dubai report, where we investigated the attitudes, appetite and aspirations of 312 global high net worth individuals (HNWI), with an average net worth of US$ 20 million, on the subject of purchasing real estate in Dubai. What we found was that the appetite to purchase a home in the city rises exponentially with levels of personal wealth, growing from 28% for those worth US$2-5 million and topping out at 78% for those with a personal net worth of above US$ 15 million.

Demand from global HNWI for residential real estate in Dubai (by net worth)

Interest in purchasing real estate in Dubai (by net worth)



Source: Knight Frank (Destination Dubai – 2024), YouGov

Furthermore, we also found that 25% of UHNWI (net worth > US$ 20 million) are prepared to spend between US$ 60-80 million on a single residential property in the city.

This extraordinary demand is reflected in the market in the surging number of luxury home sales, in addition to the dwindling number of high-end home listings.

THE INTERNATIONAL APPEAL OF DUBAI'S RESIDENTIAL MARKET

The world's luxury homes hotspot

For two consecutive years, Dubai has earned the title of being the busiest US$ 10 million+ homes market. Indeed, during 2024, the emirate registered 435 home sales above US$ 10 million, nearly the same number as second and third placed New York (269) and London (224) combined.

Number and total value of US$ 10 million+ home sales globally
US$10m+ annualised residential sales

Number of sales

City	Full year 2020	Full year 2021	Full year 2022	Full year 2023	Full year 2024
Dubai	**22**	**93**	**224**	**434**	**435**
New York	119	430	241	213	269
London	188	316	284	275	224
Hong Kong	176	252	124	166	223
Los Angeles	155	319	239	222	214
Miami	83	244	146	124	167
Palm Beach	88	148	111	108	154
Sydney	45	118	108	103	100
Orange County	44	115	96	85	96
Singapore	78	214	114	101	89

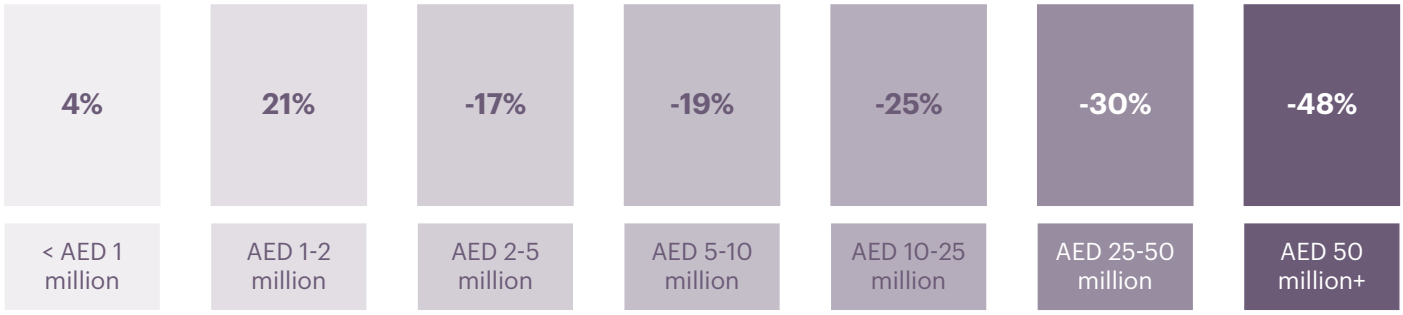
Source: Knight Frank, REIDIN

With the city attracting a near constant stream of new residents, some of whom fall into the HNWI category, the number of homes available in the market has been steadily declining. This marks a significant departure from previous market cycles that were driven by speculative purchases. This time around, families are relocating to the city, some with their businesses as genuine end-users, which is reducing the number of home listings.

This trend is particularly notable above the AED 2 million price point, with a 17% reduction in the number of homes priced between AED 2-5 million on the market last year (vs. 2023), rising to a 48% reduction for luxury homes priced above AED 50 million over the same time period. And developers have been racing to satisfy this demand.

THE INTERNATIONAL APPEAL OF DUBAI'S RESIDENTIAL MARKET

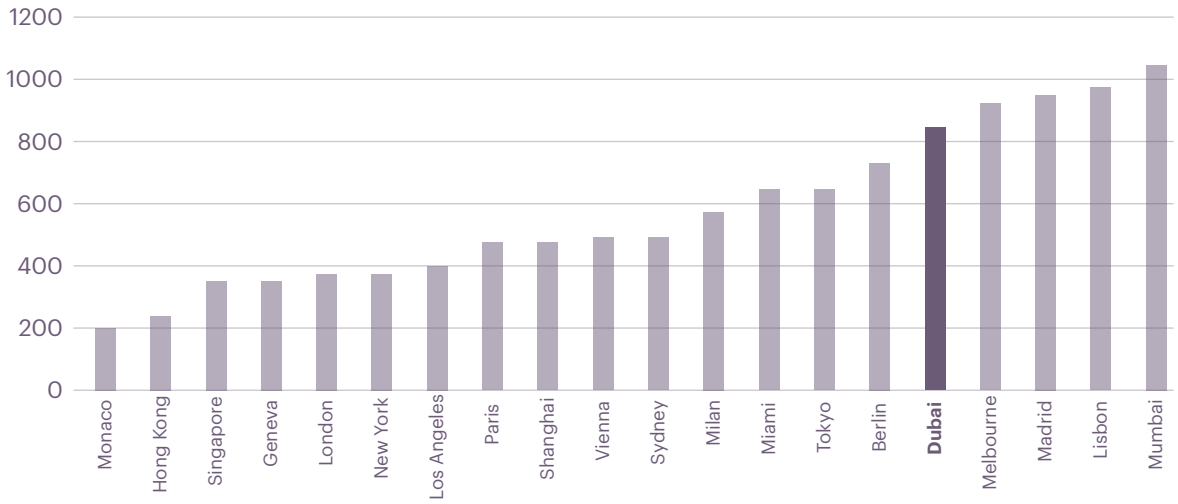
Annual change in home listings across Dubai – 2024 vs. 2023 (by price band)



Source: Knight Frank, REIDIN

The international appetite for homes in Dubai is also bolstered by its relative affordability compared to major global gateway cities. Indeed, US$ 1 million secures 839 sq. ft of space in the city's prime residential neighbourhoods, which encompasses the Palm Jumeirah, Jumeirah Islands, Jumeirah Bay Island and Emirates Hills. This compares to just 204 sq. ft in Monaco, and 366 sq. ft in London or New York.

Prime residential space secured for US$ 1 million globally



Source: Knight Frank, REIDIN, Douglas Elliman, Ken Corporation

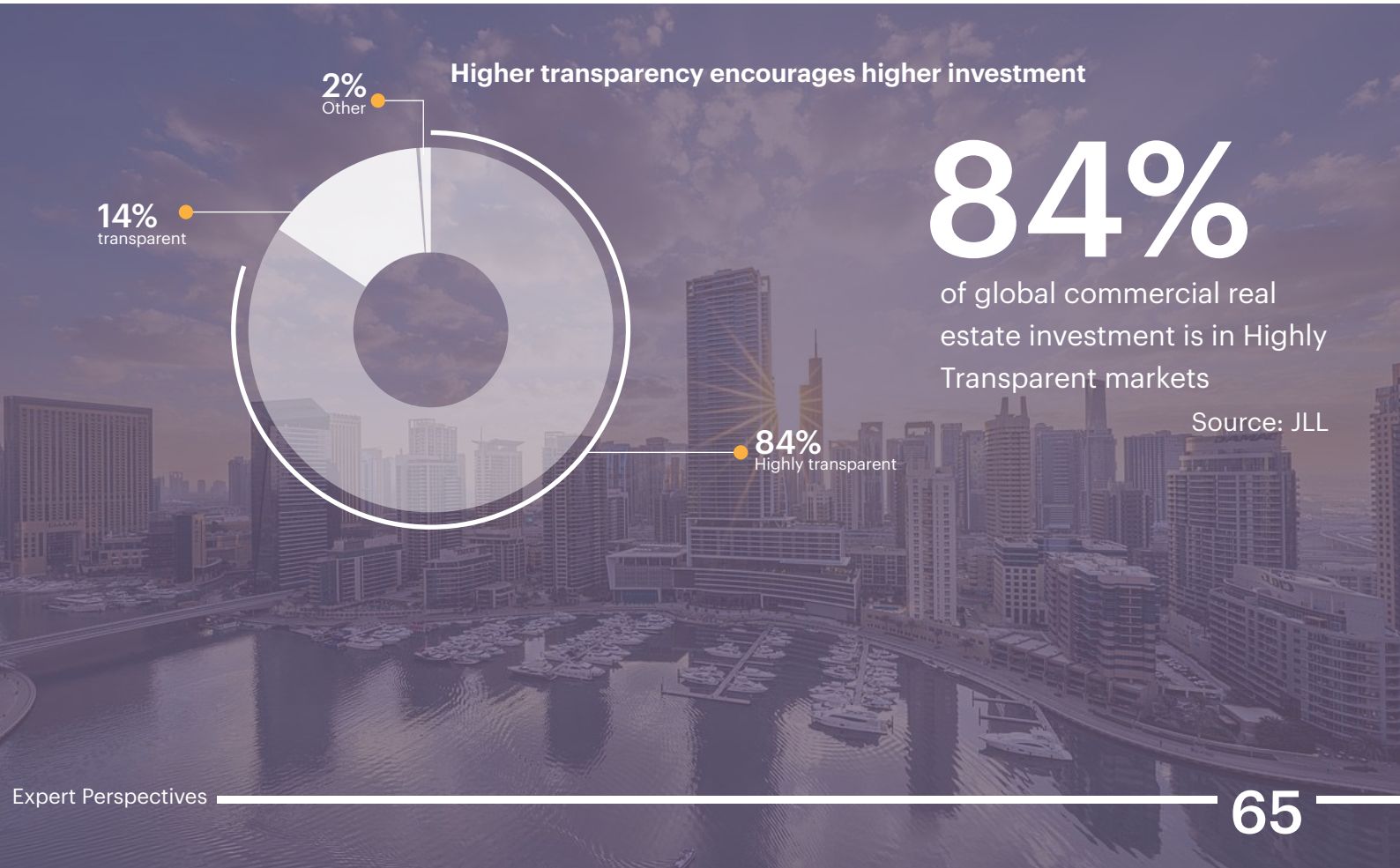
Indeed, in our 2024 Destination Dubai report, we found that two-thirds of global HNWI are keen on purchasing a second home, or holiday home in the city, signalling the strengthening of yet another international demand source.

DUBAI REAL ESTATE MARKET:
A GLOBAL HUB OF INNOVATION AND GROWTH

Faraz Ahmed
Research Director, MENA
JLL

The global real estate market is experiencing a shift as transparency becomes an increasingly critical factor in attracting investments. According to JLL's 2024 Global Real Estate Transparency Index, markets with higher levels of transparency are seeing a surge in transaction volumes and investor interest. This trend is particularly evident in emerging markets that have made significant strides in improving their regulatory environments, data availability, and sustainability reporting.

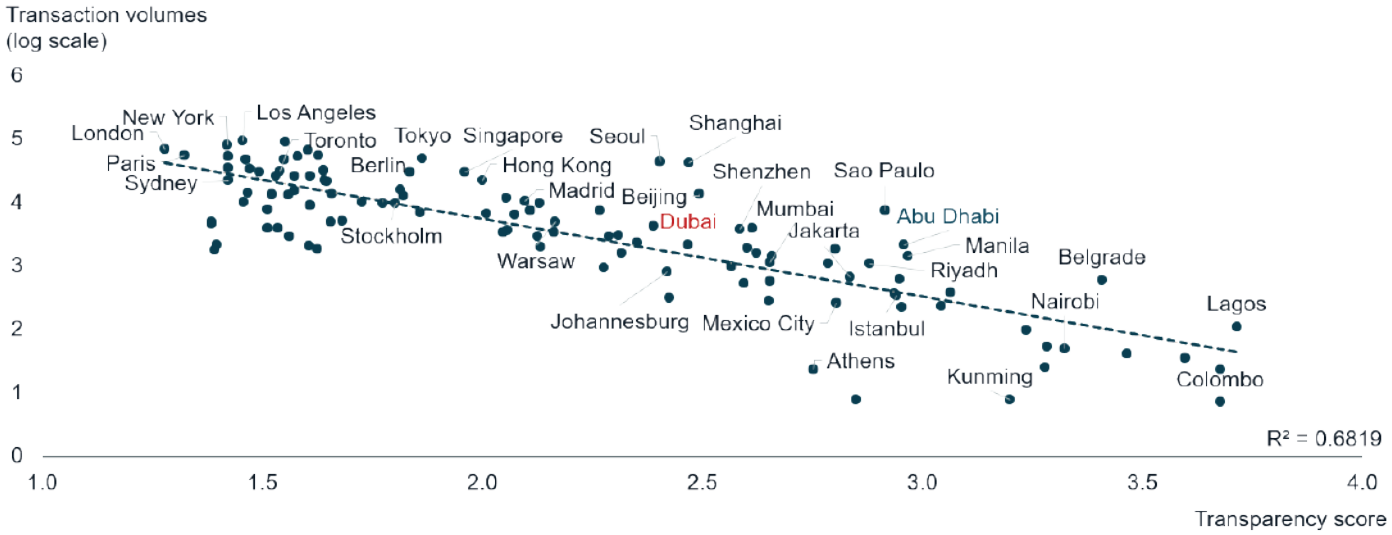
Globally, the most transparent markets have registered the strongest gains in the 2024 Index. The United States, Canada, France, and Australia are among the top improvers, setting new benchmarks for technology integration, data depth, and climate reporting. The top set of highly transparent countries have attracted over USD 1.2 trillion in direct commercial real estate investment over the past two years, accounting for more than 80% of the global total. The link between transparency and investment is clear. As markets become more transparent, investors gain confidence in their ability to accurately assess risks and opportunities.



DUBAI REAL ESTATE MARKET:
A GLOBAL HUB OF INNOVATION AND GROWTH

Emerging markets that have focused on enhancing transparency are also reaping the benefits. In this context, Dubai stands out as a remarkable success story, embodying the positive correlation between improved transparency and increased investor interest. Dubai has solidified its position as one of the most dynamic and attractive cities globally, characterised by robust growth, increased transparency, and a forward-looking approach to development.

Higher transparency higher investment



Source: JLL

The emirate's commitment to enhancing its real estate ecosystem is evident in its significant improvement in JLL's 2024 Global Real Estate Transparency Index, where it now ranks 28th globally, firmly establishing itself in the "Transparent" tier. This improvement is not just a statistical achievement; it translates into tangible benefits for investors, including reduced risk, increased market efficiency, and greater confidence in decision-making.



DUBAI REAL ESTATE MARKET:
A GLOBAL HUB OF INNOVATION AND GROWTH

Dubai ranks among the top global improvers in the 2024 Transparency Index. The emirate has made significant progress in several key areas:

- Enhanced data and service offerings: The Dubai REST platform has greatly improved the accessibility and quality of real estate data.
- Strengthened anti-money laundering legislation: This has boosted investor confidence in the market's integrity.
- Increased market information: Both established providers and innovative start-ups are contributing to a richer information ecosystem.

The impact of these transparency improvements is evident in Dubai's real estate market performance. In 2024, residential sales transactions grew by an impressive 32.0% year-over-year, totalling AED 367 billion. This growth is not just in volume but also in the nature of investments, with off-plan properties accounting for 60.7% of total transaction value, indicating strong investor confidence in Dubai's future developments.

Emerging Trends Shaping Dubai's Real Estate Landscape

1. **Sector Diversification:** Dubai is witnessing significant growth in emerging real estate sectors, particularly in data centres and logistics. The rapid digital transformation and increasing data consumption in the region have positioned Dubai as a key hub for data centre facilities. Similarly, the logistics sector has seen substantial expansion, leveraging Dubai's strategic location and world-class port facilities.
2. **Sustainability Focus:** Dubai has implemented various initiatives to promote green building practices and energy efficiency. The introduction of building energy performance databases and reporting requirements is pushing developers and property owners to prioritise sustainable design and operations. This aligns with global trends and positions Dubai as a leader in sustainable real estate development in the region



DUBAI REAL ESTATE MARKET:
A GLOBAL HUB OF INNOVATION AND GROWTH

3. **Technological Integration:**
   Dubai is at the forefront of technology adoption in real estate. The Dubai Land Department's REST platform has significantly enhanced digital services for property transactions and management. The integration of blockchain technology and artificial intelligence is improving efficiency and transparency across the sector.

4. **Market Institutionalisation:**
   The real estate market is becoming more structured and institutionalised, with a growing number and proportion of assets now trading regularly. This trend is broadening the city's appeal to a diverse range of capital sources across various sectors.

The ripple effects of Dubai's transparency improvements are being felt across the wider MENA region. As neighboring countries observe Dubai's success, there is growing recognition of the need to enhance their own transparency to remain competitive in attracting global capital.

Looking ahead, **Dubai's real estate market is poised for continued growth** and evolution. The city's proactive approach to addressing global trends – such as sustainability, technology integration, and sector diversification – positions it well to attract diverse investment streams. The ongoing development of emerging sectors like data centers and sustainable real estate presents significant opportunities for investors seeking high-growth areas.

Moreover, **Dubai's role as an international business and tourism hub continues to drive demand across various property types.** The city's ability to adapt to changing global economic landscapes, coupled with its strategic initiatives like the D33 agenda, suggests a robust and resilient real estate market in the coming years. With its improving transparency, robust economic fundamentals, and diverse investment opportunities, Dubai is set to further cement its status as a key player in the international property market in the coming years.



06.

Strategic Alignment with Dubai’s Vision

STRATEGIC ALIGNMENT WITH DUBAI'S VISION:
REAL ESTATE'S ROLE IN D33 & URBAN PLAN 2040

Overview

Dubai's real estate sector is not just a key economic contributor but a **strategic pillar** in the emirate's long-term development agenda. The alignment with the **D33 Economic Agenda** and the **Dubai Urban Plan 2040** illustrates a deliberate and robust strategy to position real estate as a transformative lever for **socio-economic growth, global competitiveness, and urban resilience.**

1. Urban Plan 2040: Spatial & Livability Alignment

The **Dubai Urban Master Plan 2040** aims to guide the city's growth to accommodate a projected 5.8 million residents by 2040, focusing on sustainability, inclusivity, and mixed-use integration.

Urban Density & Zoning Shift

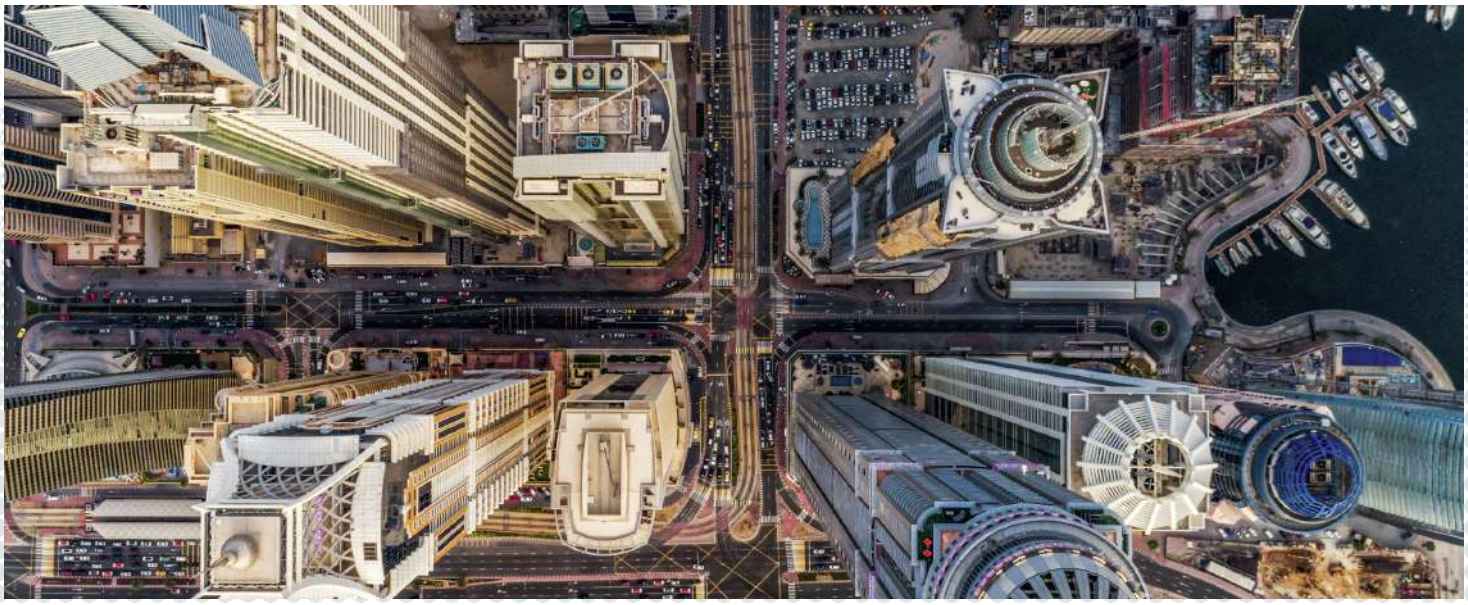
- Shift from land trading to **active, zoned development** (-7.3% YoY in land deals) indicates **disciplined pipeline management.**
- Expansion of **integrated, high-quality lifestyle districts** like Dubai South and Al Merkadh aligns with the plan's goals.

Sustainability Transformation

- Uptake of **green buildings, energy performance databases, and low-carbon materials** aligns with both Urban Plan 2040 and Dubai's net-zero goals.
- Rising demand for **smart, branded, and sustainable communities** showcases changing consumer expectations.

Mixed-Use & Economic Clusters

- Developments support co-location of residential, commercial, and educational assets, fostering 15-minute neighborhoods and reducing dependency on car-based mobility.



STRATEGIC ALIGNMENT WITH DUBAI'S VISION:
REAL ESTATE'S ROLE IN D33 & URBAN PLAN 2040

2. Real Estate and the D33 Economic Agenda

D33's Core Objective: Double the size of Dubai's economy and position it among the top three global cities by 2033

Real Estate as a Growth Engine

- In 2024, Dubai's real estate transactions totaled **AED 761 billion,** including **AED 522 billion** in investments, underscoring the sector's critical role in GDP growth and FDI attraction.
- Real estate supports Dubai's **non-oil economic diversification,** stimulating tourism, retail, finance, and logistics.

Capital Attraction & Global Investment Hub

- Strong inflows from Asia, Europe, and North America confirm Dubai's successful positioning as a magnet for international capital.
- Long-term residency programs (e.g., Golden Visa) have increased investor stickiness, supporting sustained capital inflows.

Digital Economy & Innovation

- Integration of platforms like Dubai REST, and adoption of blockchain and AI, are reducing friction, boosting transparency, and aligning with D33's smart governance and innovation pillars.

3. Cross-Sectoral Integration: Real Estate as Enabler

Dubai real estate underpins several adjacent pillars of the D33 plan:

Sector	Real Estate Role
Tourism & Hospitality	High-end short-term rentals, branded residences, hotel-adjacent villas
Finance	HNWIs & family offices investing in commercial assets
Retail & Leisure	Integrated malls, F&B hubs, lifestyle communities
Education	Family migration fuels demand for housing near top schools
Logistics	Dubai South, DIC, and JAFZA-related residential demand

Conclusion

Dubai's real estate market is no longer a investment cycle—it is a **foundational enabler** of Dubai's economic and urban transformation. The sector's strong 2024 performance reinforces its role as a **policy-aligned**, **resilient**, and **globally competitive** asset class. Looking toward 2033 and 2040, its evolution will be defined not just by growth, but by **its integration with digital infrastructure, urban livability, and global capital flows.**

07.

Future Sentiment

DUBAI REAL ESTATE: EXCEPTIONAL PERFORMANCE IN 2024 & BRIGHT OUTLOOK AHEAD

Booming Tourism & Hospitality Sector: A Major Demand Engine

- Dubai broke post-pandemic tourism records, driving strong demand for short-term rentals, especially in prime tourist areas.
- The flourishing of **luxury hotels and serviced apartments** has significantly boosted demand for high-end residential properties.
- Dubai's global status as a hub for **business and leisure** has created continuous demand for upscale living in centrally located and well-connected areas.

Luxury Real Estate Surge & Premium Projects

- Soaring demand for luxury properties in areas like **Palm Jumeirah, Downtown Dubai, and Dubai Hills Estate.**
- A rising trend in **branded residences** (e.g., Armani, Bugatti, Aston Martin) attracts elite buyers seeking unique and high-status living experiences.
- **Limited supply** of waterfront villas and high-end homes has led to **significant price appreciation.**
- Despite new projects in the pipeline, **demand continues to outpace supply** in premium locations, fueling competitive market dynamics.

Strong Interest from Foreign Investors & Expats

- Increasing inflows of **wealthy buyers from Europe, Asia, and new emerging markets,** looking for secure and lucrative investments.
- The **Golden Visa program** encourages long-term commitment by offering residency to real estate investors.
- **Dubai's tax-free environment** and ease of doing business are major pull factors for global investors seeking a stable and investment-friendly ecosystem.

Economic Growth & Infrastructure Development

- Robust growth in **Dubai's GDP,** especially in non-oil sectors like tourism, trade, finance, and technology.
- Mega infrastructure projects such as **airport expansions, new metro lines, and luxury developments** enhance the city's appeal and accessibility.
- Continued post-Expo 2020 momentum is spurring **investment in emerging areas** like Dubai South and Expo City.

Population Growth & Urban Expansion

- Dubai's population is expected to reach **5.8 million by 2040,** significantly increasing demand for residential units.
- Development of emerging districts like **Dubai South and Dubai Creek Harbor is strategically planned to absorb** this growth.
- An influx of professionals, entrepreneurs, and **digital nomads** is fueling demand for high-quality housing and flexible lifestyle options.

DUBAI REAL ESTATE: EXCEPTIONAL PERFORMANCE IN 2024 & BRIGHT OUTLOOK AHEAD

Pro-Investor Government Policies & Regulatory Support

- Launch of the **Dubai Real Estate Strategy 2034** reinforces the city's long-term vision as a globally competitive real estate hub.
- 100% **foreign ownership in many sectors** has added a layer of confidence and stability for investors and residents.
- Flexible mortgage policies and **developer incentives** (such as post-handover payment plans) have made purchasing more accessible.
- **Increased regulatory oversight** by RERA has strengthened investor trust and transparency, reinforcing market confidence.

High Rental Yields & Attractive ROI

- Dubai offers rental **yields of 6-8%,** significantly higher than global cities like London and New York.
- Strong demand for both **long-term and short-term** rentals due to population growth, company relocations, and an expanding expat workforce.
- Short-term rental market, fueled by tourism and digital nomads, is **enhancing**
- **rental income potential** across key neighborhoods.

Outlook for 2025 and Beyond: Growth with Stability

- Luxury segment momentum is expected to continue, fueled by scarcity and growing global interest.
- Dubai is reinforcing its position as a top destination for living, investing, and working, supported by smart governance and world-class infrastructure.
- Expansion into new urban zones, including mixed-use mega-projects and innovation districts, is creating new frontiers for growth.
- The key challenge ahead will be balancing supply and demand to ensure long-term price sustainability without overheating the market.

Dubai Real Estate Market Insights Team

Report Author:

Ahmad Othman

Real estate Expert

Dubai Land Department

Content Reviewer:

Marwan Khori

Head of Knowledge and Data Department

Dubai Land Department

Data Validation:

Amina Al Besher

Data Analytics and Research Section Manager

Dubai Land Department

Tammam Raweh

Senior Statistics Specialist
Data Analytics and Research Section

Dubai Land Department



GLOSSARY OF KEY TERMS & ABBREVIATIONS (1/2)

Term / Abbreviation	Definition
AED	United Arab Emirates Dirham, the official currency of the UAE.
ASP (Average Selling Price)	The mean price at which properties are sold in a given period.
Branded Residence	Residential property developed and marketed in partnership with an international luxury brand (e.g., Armani, Bugatti).
CAGR (Compound Annual Growth Rate)	The mean annual growth rate of an investment over a specified period longer than one year.
Constant Prices / Real Terms	Economic data adjusted for inflation, reflecting true volume growth.
D33	Dubai Economic Agenda 2033: Government strategy aiming to double Dubai's economy over the next decade.
DIFC	Dubai International Financial Centre – a financial free zone and business hub.
DLD	Dubai Land Department – the government entity regulating the real-estate sector.
Expo City	Mixed use legacy district on the former Expo2020 site, positioned as a smart city hub.
FDI (Foreign Direct Investment)	Cross border investments where the investor has significant control over the enterprise.
GDP	Gross Domestic Product – total value of all goods and services produced in Dubai.
Golden Visa	10-year renewable residency permit granted to qualifying investors, professionals, and talent.
Grade A Office	Top tier office space featuring modern specs, prime location, and institutional management.
HNWI / Millionaire	High Net Worth Individual with ≥USD1million in liquid investable assets.
Key / Room Key	Single rentable room in a hotel or serviced apartment establishment.

GLOSSARY OF KEY TERMS & ABBREVIATIONS (1/2)

Term / Abbreviation	Definition
Luxury Segment (Report Definition)	Top 10% of transactions by price per square meter for units or villas in Dubai.
MBR City	Mohamed Bin Rashid City – large master planned mixed use development in Dubai.
Occupancy Rate	Percentage of available hotel rooms or apartments that are occupied over a period.
Pipeline (Supply)	Inventory of real estate projects under construction or planned for delivery.
Off-Plan Properties	Real estate Properties (units /villa) sold by a developer before construction is completed, often during the planning or early building phase.
Prime / Ultra Prime	Properties in the top 5% of the market by value, location, and prestige.
REIT (Real Estate Investment Trust)	Public or private vehicle that owns, operates, or finances income producing real estate.
RERA	Real Estate Regulatory Agency – regulatory arm of DLD overseeing compliance.
Serviced Apartment / Condo Hotel	Residential unit integrated with hotel services, often eligible for short term leasing pools.
Tokenisation	Converting property value into digital tokens on a blockchain for fractional ownership.
UHNWIs	Ultra High Net Worth Individuals with ≥USD30million in investable assets.
Yield (Gross / Net)	Annual rental income divided by property value; net yield deducts costs (fees, maintenance).
CBD	Central Business District.

DISCLAIMER

- **The data presented** in this annual report is sourced directly from the official records of the Dubai Land Department (DLD), which serves as the authoritative source of truth for all real estate data in the Emirate of Dubai.
- **Please note that the DLD's** real estate database is dynamic by nature and is continuously updated to reflect new entries, deletions, and modifications in line with transactional and regulatory developments. Accordingly, the figures shown in this report represent the most accurate and up-to-date snapshot available at the time of data export.
- **As such,** there may be minor variations between the data published in this report and figures accessed at a later date due to ongoing updates within the system.
- **The Dubai Land Department** remains committed to data transparency, accuracy, and continuous improvement in alignment with the strategic goals of Dubai's real estate sector.



دائرة الأراضي والأملاك
Land Department

Tel. 8004488 Email: info@dubailand.gov.ae www.dubailand.gov.ae

Dubai Land Department @land_department LandDptDubai

Dubai Land Department
دائـــرة الأراضـــي والأمـــلاك
@land_department

ANNUAL REPORT 2024

Peak Performance
Dubai's Real Estate in 2024 and the Road Ahead